

ORIENT FINANCE PLC
(FORMERLY KNOWN AS BARTLEET FINANCE PLC)
COLOMBO - 10

FINANCIAL STATEMENTS FOR THE
YEAR ENDED 31ST MARCH, 2016

**INDEPENDENT AUDITOR'S REPORT
TO THE SHAREHOLDERS OF ORIENT FINANCE PLC
(FORMERLY KNOWN AS BARTLEET FINANCE PLC)**

Report on the Financial Statements

We have audited the accompanying financial statements of Orient Finance PLC, which comprise the statement of financial position as at 31st March, 2016, and the income statement, statement of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flow for the year then ended, and a summary of significant accounting policies and other explanatory information as set out on pages 06 to 62.

Board's Responsibility for the Financial Statements

The Board of Directors ("Board") is responsible for the preparation of these financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards and for such internal control as the Board determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with Sri Lanka Auditing Standards. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation of the financial statements that give a true and fair view in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the Board, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the financial statements give a true and fair view of the financial position of Orient Finance PLC as at 31st March, 2016 and its financial performance and its cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Report on Other Legal and Regulatory Requirements

As required by section 163 (2) of the Companies Act No. 07 of 2007, we state the following:

- a) The basis of opinion and scope and limitations of the audit are as stated above.
- b) In our opinion:
 - We have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the company.
 - The financial statements of the company, comply with the requirements of section 151 of the Companies Act No.07 of 2007.

BDO Partners

CHARTERED ACCOUNTANTS
Colombo
23rd June, 2016
TS/cc

ORIENT FINANCE PLC
(FORMERLY KNOWN AS BARTLEET FINANCE PLC)
INCOME STATEMENT

Page 1

For the year ended 31st March,

		2016 Rs.	2015 Rs.
	Note		
Income	4	2,363,151,672	1,362,664,433
Interest income	5	2,229,745,733	1,283,086,649
Interest expenses	6	(1,096,452,702)	(805,279,228)
Net interest income		1,133,293,031	477,807,421
Fee and commission income	7	84,986,691	21,384,098
Other operating income	8	48,419,248	58,193,686
Total operating income		1,266,698,970	557,385,205
Impairment charges/(reversal) for loans and receivables to customers	9	(328,996,613)	(188,291,956)
Net operating income		937,702,357	369,093,249
Operating expenses			
Personnel expenses	10	(334,420,478)	(134,102,111)
Depreciation and amortization		(41,927,462)	(24,494,931)
Other operating expenses	11	(263,851,597)	(206,314,392)
Operating profit before Value Added Tax and NBT		297,502,820	4,181,815
Value Added Tax and NBT on financial services		(1,642,102)	-
Profit before income tax		295,860,718	4,181,815
Income tax expense	12	311,011,817	-
Profit for the year		606,872,535	4,181,815
Basic earnings per share (Rs.)	13.1	7.0	0.05
Diluted earnings per share (Rs.)	13.2	7.0	0.05
Dividend per share (Rs.)	14	-	-

Figures in brackets indicate deductions.

The significant accounting policies and the notes from pages 06 to 62 form an integral part of these financial statements.

Colombo
23rd June, 2016



ORIENT FINANCE PLC
(FORMERLY KNOWN AS BARTLEET FINANCE PLC)
STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

Page 2

For the year ended 31st March,

Note	2016 Rs.	2015 Rs.
Profit for the year	606,872,535	4,181,815
Other comprehensive income/(expenses)		
Other comprehensive income/(expenses) to be reclassified to profit or loss in subsequent periods		
Available for sale financial assets - Net change in fair value	(377,544)	-
	(377,544)	-
Other comprehensive income/(expenses) not to be reclassified to profit or loss in subsequent periods		
Actuarial gain/(loss) on retirement benefit plan	30.1 (1,860,920)	-
Deferred tax effect on above	521,058	-
	(1,339,862)	-
Other comprehensive income/(expenses) for the year net of tax	(1,717,406)	-
Total comprehensive income for the year net of tax	605,155,129	4,181,815

Figures in brackets indicate deductions.

The significant accounting policies and the notes from pages 06 to 62 form an integral part of these financial statements.

Colombo
23rd June, 2016



ORIENT FINANCE PLC
(FORMERLY KNOWN AS BARTLEET FINANCE PLC)
STATEMENT OF FINANCIAL POSITION

Page 3

As At 31st March

ASSETS

Cash and cash equivalents
Available for sale financial assets
Loans and receivables to customers
Investments with banks and other financial institutions
Other assets
Real estate stock
Amount due from related parties
Deferred tax asset
Goodwill
Brand value
Intangible assets
Property, plant and equipment
Total assets

LIABILITIES

Bank overdrafts
Deposits from customers
Interest bearing borrowings
Term debts
Current tax liability
Deferred tax liability
Other liabilities
Non interest bearing security deposits
Retirement benefit obligations
Total liabilities

EQUITY

Stated capital
Statutory reserve fund
Available for sale reserve
Revaluation reserve
Retained earnings
Total equity
Total equity and liabilities

Note	2016 Rs.	2015 Rs.
15	231,677,698	194,035,452
16	756,124,104	592,104,838
17	13,839,304,166	4,987,748,661
18	432,329,213	134,094,995
19	247,641,495	138,082,837
20	46,407,850	47,227,436
	-	265,825,725
21	319,518,080	-
22	564,545,746	-
22.3	235,880,000	-
23	517,658	-
24	438,736,121	446,863,819
	<u>17,112,682,131</u>	<u>6,805,983,763</u>
15	433,373,124	86,619,893
25	9,249,312,393	5,746,846,804
26	3,262,737,550	31,760,395
27	1,176,912,865	204,000,000
28	2,136,340	(54,021)
21	-	50,300,826
29	704,484,745	71,628,143
	1,891,105	-
30	38,853,036	44,882,599
	<u>14,869,701,158</u>	<u>6,235,984,639</u>
31	1,378,689,779	306,024,990
32	292,391,119	171,016,612
33	(377,544)	(3,374,004)
	116,471,908	116,471,908
	455,805,711	(20,140,382)
	<u>2,242,980,973</u>	<u>569,999,124</u>
	<u>17,112,682,131</u>	<u>6,805,983,763</u>
	15.15	7.45

Net assets per share

Figures in brackets indicate deductions.

The significant accounting policies and the notes from pages 06 to 62 form an integral part of these financial statements.

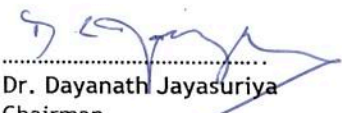
The financial statements are in compliance with the requirements of the Companies Act No.07 of 2007.

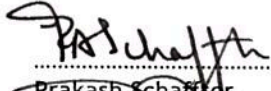

Asela Wijayabandara
Asst. General Manager - Finance


Mayura Fernando
Chief Executive Officer

The Board of Directors is responsible for the preparation and presentation of these Financial Statements.

Approved and signed for and on behalf of the Board;


Dr. Dayanath Jayasuriya
Chairman


Prakash Schaffer
Director

Colombo
23rd June, 2016
TS/cc



ORIENT FINANCE PLC
(FORMERLY KNOWN AS BARTLEET FINANCE PLC)
STATEMENT OF CHANGES IN EQUITY

For the year ended 31 March 2016,

	Stated Capital	Statutory reserve fund	Investment fund	Revaluation reserve	Available for sale value reserve	Retained earnings	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Balance as at 01 April 2014	306,024,990	170,180,249	1,868,462	148,094,569	(7,778,079)	(56,976,957)	561,413,234
Profit for the year	-	-	-	-	-	4,181,815	4,181,815
Other comprehensive income net of taxes	-	-	-	-	4,404,075	-	4,404,075
Transfer to statutory reserve	-	836,363	-	-	-	(836,363)	-
Transfer to retained earnings	-	-	(1,868,462)	(31,622,661)	-	33,491,123	-
Balance as at 31 March 2015	306,024,990	171,016,612	-	116,471,908	(3,374,004)	(20,140,382)	569,999,124
Profit for the year	-	-	-	-	-	606,872,535	606,872,535
Issue of ordinary shares	1,072,664,789	-	-	-	-	-	1,072,664,789
Equity transaction cost relating to IPO	-	-	-	-	-	(4,838,069)	(4,838,069)
Written off of available for sale financial assets	-	-	-	-	3,374,004	(3,374,004)	-
Other comprehensive income net of taxes	-	-	-	-	(377,544)	(1,339,862)	(1,717,406)
Transfer to statutory reserve	-	121,374,507	-	-	-	(121,374,507)	-
Balance as at 31 March 2016	1,378,689,779	292,391,119	-	116,471,908	(377,544)	455,805,711	2,242,980,973

Figures in brackets indicate deductions.

The significant accounting policies and the notes from pages 06 to 62 form an integral part of these financial statements.

Colombo
23rd June, 2016



ORIENT FINANCE PLC
(FORMERLY KNOWN AS BARTLEET FINANCE PLC)
CASH FLOW STATEMENT

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For the year ended

	2016 Rs.	2015 Rs.
CASH FLOWS FROM OPERATING ACTIVITIES		
Profit before income tax expense	295,860,718	4,181,815
Adjustment for;		
Depreciation / Amortization	41,927,462	24,494,931
(Profit)/loss on sale of investment securities	-	1,253,121
(Profit)/loss on sale of real estate	(595,136)	(15,276,309)
(Profit)/loss on disposal of property, plant and equipment	(36,700,876)	(17,918,189)
Impairment charge/(reversal)	328,996,613	188,291,956
Dividend income	-	(571,326)
Finance expenses	1,096,452,702	805,279,228
Investment income	(82,814,997)	(96,306,550)
Provision for gratuity	2,552,085	12,000,000
Operating profit before working capital changes	1,645,678,571	905,428,677
Change in loans and receivables to customers	(1,719,073,346)	493,574,904
Change in other assets	(57,394,929)	(13,825,719)
Change in deposits from customers	61,939,527	(883,887,864)
Change in other liabilities	(334,034,620)	21,909,546
Change in non interest bearing security margins	(695,045)	-
	(403,579,842)	523,199,544
Interest paid	(816,799,568)	(800,697,435)
Income tax paid	(2,498,544)	(2,722,233)
Gratuity paid	(23,393,426)	(3,738,414)
Net cash used in operating activities	(1,246,271,380)	(283,958,538)
CASH FLOWS FROM INVESTING ACTIVITIES		
Acquisition of property, plant and equipment	(16,248,351)	(2,182,431)
Proceeds from sale of property, plant and equipment	54,951,092	81,806,120
Proceeds from sale of real estate	1,473,522	181,068,257
Expenses incurred for development of real estate	(58,800)	(6,720,125)
Net change in available for sale financial assets	56,965,581	(40,446,523)
Net change in investments with bank and other financial institution	(298,234,218)	508,251,027
Investment income received	82,814,997	96,306,550
Dividend received	-	571,326
Sales proceeds from disposal of AFS financial assets	-	11,070,955
Payments made to former Orient Finance PLC's shareholders	(1,730,906,250)	-
Net cash (used to)/generated from investing activities	(1,849,242,427)	829,725,156
CASH FLOWS FROM FINANCING ACTIVITIES		
Interest paid on debentures	(71,258,080)	(26,520,000)
Interest bearing borrowings obtained	5,839,980,152	-
Repayment of interest bearing borrowings	(4,440,414,808)	(345,519,017)
Proceeds from shares issue	1,072,664,789	-
Expenses incurred for IPO	(4,838,069)	-
Proceeds received from/(paid to) related party	265,825,725	(265,825,725)
Net cash (used to)/generated from financing activities	2,661,959,709	(637,864,742)
Net change in cash and cash equivalents	(433,554,098)	(92,098,124)
Cash and cash equivalents at the beginning of the year	107,415,559	199,513,683
Net cash transferred from former Orient Finance PLC at the time of amalgamation	124,443,113	-
Cash and cash equivalents at the end of the year (Note A)	(201,695,426)	107,415,559
Note A		
Analysis of cash and cash equivalents at the end of the year		
Cash in hand	25,988,300	19,275,988
Cash at bank	205,689,398	174,759,464
Bank overdrafts - secured	(433,373,124)	(86,619,893)
	(201,695,426)	107,415,559

Figures in brackets indicate deductions.

The significant accounting policies and the notes from pages 06 to 62 form an integral part of these financial statements.

Colombo
23rd June, 2016



1. REPORTING ENTITY

1.1 Corporate information

Orient Finance PLC (the “Company”) is a company incorporated and domiciled in Sri Lanka under the Companies Act No. 07 of 2007 and approved under Finance Lease Act, No. 56 of 2000 and Finance Business Act No. 42 of 2011 and is listed in the Colombo Stock Exchange.

The registered office of the company is located at No. 02, Deal Place, Colombo-03 and the business is carried out at No.18, Sri Sangaraja Mawatha, Colombo 10.

Pursuant to the shareholder approval at the Extraordinary General Meeting held on 25th June, 2015 the asset and liabilities of Orient Finance PLC as at 30th June, 2015 were amalgamated with Bartleet Finance PLC in terms of part VIII of section 239 of the Companies Act No. 07 of 2007.

Further, Bartleet Finance PLC is the surviving entity upon the completion of the amalgamation and continues its activities as a single legal entity which is a licensed finance company. The amalgamation is effective from 16th July, 2015 the date approved by the Register of Companies.

The name of the company has been changed as “Orient Finance PLC” with effect from 14th August, 2015.

1.2 Principal activities and nature of operations

The principal activities of the company are comprised of finance leasing, hire purchasing, debt factoring, mobilization of deposits and pawning advances.

1.3 Parent entity and ultimate parent entity

In the opinion of the directors, the company’s parent undertaking is Janashakthi PLC.

1.4 Directors' responsibility statement

The board of directors takes the responsibility for the preparation and presentation of these financial statements as per the provisions of the Companies Act No.07 of 2007 and the Sri Lanka Accounting Standards comprising LKAS and SLFRS.

1.5 Date of authorization

The financial statements of the company for the year ended 31 March 2016 were authorized to issue by the board of directors on 15th June, 2016.

2. BASIS OF PREPARATION

2.1 Statement of compliance

The statement of financial position as at 31st March, 2016 income statement, Statement of Profit or Loss and other comprehensive income, statement of changes in equity and statement of cash flows, together

with the notes to the financial statements (“financial statements”) of the company for the year then ended, comply with the Sri Lanka Accounting Standards (SLFRSs /LKASs) as laid down by the Institute of Chartered Accountants of Sri Lanka and the requirements of the Companies Act No. 07 of 2007 and the Finance Business Act No. 42 of 2011 and amendments thereto, and provide appropriate disclosures as required by the Listing Rules of the Colombo Stock Exchange.

2.2 Basis of measurement

The financial statements have been prepared on historical cost basis except for the following material items in the statement of financial position;

- Liability for defined benefit obligations is recognised as the present value of the defined benefit obligation.
- Available-for -sale financial assets are measured at fair value.

2.3 Functional and presentation currency

The financial statements are presented in Sri Lankan Rupees, which is the company’s functional currency. All financial information presented in Sri Lankan Rupees has been rounded to the nearest rupee unless stated otherwise.

2.4 Presentation of financial statements

The assets and liabilities of the company presents in its statement of financial position are grouped by nature and listed in an order that reflects their relative liquidity and maturity pattern. No adjustments have been made for inflationary factors affecting the financial statements. Maturity analysis is presented in note 35 to the financial statements.

2.5 Materiality and aggregation

In compliance with LKAS 01 on “Presentation of Financial Statements”, each material class of similar items is presented separately in the financial statements. Items of dissimilar nature or functions are presented separately, unless they are immaterial.

Financial assets and financial liabilities are offset and the net amount reported in the statement of financial position only when there is a legally enforceable right to offset the recognized amounts and there is an intention to settle on a net basis, or to realize the assets and settle the liability simultaneously. Income and expenses are not offset in the statement of comprehensive income unless required or permitted by any accounting standard or interpretation, and as specifically disclosed in the notes to the financial statements.

2.6 Comparative information

The accounting policies have been consistently applied by the company with those of the previous financial year in accordance with LKAS 01 “*Presentation of Financial Statements*” except those resulted to change as the revision or application of new SLFRSs/LKASs. Further comparative information is reclassified wherever necessary to comply with the current presentation.

2.7 Significant accounting judgements, estimates and assumptions

The preparation of financial statements in conformity with Sri Lanka Accounting Standards (LKAS and SLFRS) requires management to make judgements, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognized in the period in which the estimate is revised and in any future periods affected.

The most significant areas of estimation, uncertainty and critical judgements in applying accounting policies that have most significant effect on the amounts recognised in the financial statements of the Company are as follows:

2.7.1 Going concern

The company's management has made an assessment of its ability to continue as a going concern and is satisfied that it has the resources to continue in business for the foreseeable future. Furthermore, management is not aware of any material uncertainties that may cast significant doubt upon the company's ability to continue as a going concern. Therefore, the financial statements continue to be prepared on the going concern basis.

2.7.2 Fair value of financial instruments

Where the fair values of financial assets and financial liabilities recorded on the statement of financial position cannot be derived from active markets, they are determined using a variety of valuation techniques that include the use of mathematical models. The inputs to these models are derived from observable market data where possible, but if this is not available, judgement is required to establish fair values.

2.7.3 Impairment losses on loans and advances

The company reviews its individually significant loans and advances at each reporting date to assess whether an impairment loss should be provided for in the Income Statement. In particular, management's judgement is required in the estimation of the amount and timing of future cash flows when determining the impairment loss. These estimates are based on assumptions about number of factors and actual results may differ, resulting in future changes to the allowance made.

Loans and advances that have been assessed individually and found not to be impaired and all individually insignificant loans and advances are then assessed collectively, by categorising them into groups of assets with similar risk characteristics, to determine whether a provision should be made due to incurred loss events for which there is objective evidence, but the effects of which are not yet evident. The collective assessment takes account of data from the loan portfolio (such as loan to collateral ratio, level of

restructured performing loans, etc.), and judgement on the effect of concentrations of risks and economic data.

The impairment loss on loans and advances is discussed in detail under note 17 to the financial statements.

2.7.4 Impairment of available for sale investments

The company reviews its debt securities classified as available for sale investments at each reporting date to assess whether they are impaired. This requires similar judgement as applied to the individual assessment of loans and advances.

The company also records impairment charges on available for sale equity investments when there has been a significant or prolonged decline in the fair value below their cost. The determination of what is 'significant' or 'prolonged' requires judgement. In making this judgement, the company evaluates, among other factors, historical share price movements and duration and extent to which the fair value of an investment is less than its cost.

2.7.5 Deferred tax assets

Deferred tax assets are recognised in respect of tax losses to the extent that it is probable that future taxable profit will be available against which the losses can be utilised. Judgement is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and level of future taxable profits, together with future tax-planning strategies.

2.7.6 Impairment losses on other financial assets

The company assesses whether there are any indicators of impairment for an asset or a cash generating unit at each reporting date or more frequently, if events or changes in circumstances necessitate doing so. This requires the estimation of the 'value in use' of such individual assets or the cash generating units. Estimating value in use requires management to make an estimate of the expected future cash flows from the asset or the cash-generating unit and also to select a suitable discount rate in order to calculate the present value of the relevant cash flows. This valuation requires the company to make estimates about expected future cash flows and discount rates, and hence, they are subject to uncertainty.

2.7.7 Impairment of non-financial assets

Impairment exists when the carrying value of an asset or cash generating unit exceeds its recoverable amount, which is the higher of its fair value less costs to sell and its value in use. The fair value less costs to sell calculation is based on available data from binding sales transactions, conducted at arm observable market prices less incremental costs for disposing of the asset. The value in use calculation is based on a discounted cash flow model. The cash flows are derived from the budget for the next five years and do not include restructuring activities that the company is not yet committed to or significant

future investments that will enhance the asset discount rate used for the discounted cash flow model as well as the expected future cash-inflows and the growth rate used for extrapolation purposes.

2.7.8 Defined benefit obligation

The cost of the defined benefit pension plan is determined using an actuarial valuation. The actuarial valuation involves making various assumptions determining the discount rates, future salary increases, mortality rates etc. Due to the long term nature of these plans, such estimates are subject to significant uncertainty. All assumptions are reviewed at each reporting date.

In determining the appropriate discount rate, management considers the interest rates of Sri Lanka government bonds with extrapolated maturities corresponding to the expected duration of the defined benefit obligation.

The mortality rate is based on publicly available mortality tables. Future salary increases are based on expected future inflation rates and expected future salary increase rate of the company.

2.7.9 Useful economic lives of property, plant and equipment

Useful economic lives of property, plant and equipment are estimated as disclosed in the note 3.3.4 to the financial statements.

2.7.10 Useful economic lives of intangible assets

Useful economic lives of intangible assets are estimated as disclosed in the note 3.5.1.1 and 3.5.2.1 to the financial statements.

3. SIGNIFICANT ACCOUNTING POLICIES

The accounting policies set out below have been applied consistently to all periods presented in these financial statements of the company unless otherwise indicated. .

3.1 Financial instruments - Initial recognition, classification and subsequent measurement

3.1.1 Date of recognition

The company initially recognises lease and hire purchase receivables, loans and advances, deposits and debt securities issued on the date on which they are originated. All other financial instruments (including regular way purchases and sales of financial assets) are recognised on the trade date, which is the date on which the company becomes a party to the contractual provisions of the instrument.

3.1.2 Initial measurement of financial instruments

The classification of financial instruments at initial recognition depends on their purpose and characteristics and the management's intention in acquiring them.

All financial instruments are initially measured at their fair value plus transaction costs, except in the case of financial assets and liabilities as per the Sri Lanka Accounting Standard - LKAS 39 on “ Financial Instruments : Recognition and Measurement” recorded at fair value through profit or loss.

Transaction cost in relation to financial assets and financial liabilities at fair value through profit or loss are dealt with through the income statement.

3.1.3 “Day 1” profit or loss

When the transaction price differs from the fair value of other observable current market transactions in the same instrument, or based on a valuation technique whose variables include only data from observable markets, the company recognises the difference between the transaction price and fair value (a 'Day 1' profit or loss) in 'interest income and personnel expenses'. In cases where fair value is determined using data which is not observable, the difference between the transaction price and model value is only recognised in the profit or Loss when the inputs become observable, or when the instrument is derecognised. The 'Day 1 loss' arising in the case of loans granted to employees at concessionary rates under uniformly applicable schemes is deferred and amortised using Effective Interest Rates (EIR) over the remaining service period of the employees or tenure of the loan whichever is shorter.

3.1.4 Classification and subsequent measurement of financial assets

At inception financial assets are classified into one of the following categories:

- At fair value through profit or loss, and within this category as :
 - Held for trading ; or
 - Designated at fair value through profit or loss
- Held-to-maturity
- Available for Sale
- Loans and receivables

The subsequent measurement of the financial assets depends on their classification.

3.1.4.1 Financial assets at fair value through profit or loss

Financial assets at fair value through profit or loss includes financial assets held for trading and financial assets designated upon initial recognition at fair value through profit or loss which are discussed below.

The company has not designated any financial assets upon initial recognition at fair value through profit or loss.

3.1.4.1.1 Financial Assets Held for Trading

Financial assets are classified as held for trading if they are acquired principally for the purpose of selling or repurchasing in the near term or holds as a part of a portfolio that is managed together for short-term profit or position taking.

Financial assets held for trading are recorded in the statement of financial position at fair value. Changes in fair value are recognised in profit or loss.

The company evaluates its financial assets held for trading to determine whether the intention to sell them in the near term is still appropriate. When the company is unable to trade these financial assets due to inactive markets and management's intention to sell them in the foreseeable future significantly changes, the company may elect to reclassify these financial assets in rare circumstances.

3.1.4.1.2 Financial assets designated at fair value through profit or loss

The company designates financial assets at fair value through profit or loss in the following circumstances:

- The assets are managed, evaluated and reported internally at fair value;
- The designation eliminates or significantly reduces an accounting mismatch, which would otherwise have arisen; or

Financial assets designated at fair value through profit or loss are recorded in the statement of financial position at fair value. Changes in fair value are recorded in 'net gain or loss on financial assets and liabilities designated at fair value through profit or loss'. Interest earned is accrued in 'interest income', using the EIR, while dividend income is recorded in 'other operating income' when the right to receive the payment has been established.

The company has not designated any financial assets upon initial recognition as at fair value through profit or loss.

3.1.4.2 Held to maturity financial investments

Held to maturity financial investments are non-derivative financial assets with fixed or determinable payments and fixed maturities, which the company has the intention and ability to hold to maturity. After initial measurement, held to maturity financial investments are subsequently measured at amortised cost using the effective interest rate (EIR), less impairment. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees that are an integral part of the EIR. The amortisation is included in 'Interest and similar income' in the income statement. The losses arising from impairment of such investments are recognised in the income statement in 'Impairment changes for loans and other losses'.

If the company were to sell or reclassify more than an insignificant amount of held to maturity investments before maturity (other than in certain specific circumstances), the entire category would be tainted and would have to be reclassified as available for sale. Furthermore, the company would be prohibited from classifying any financial asset as held to maturity during the following two years.

The company has not designated any financial assets as held to maturity during the financial year.

3.1.4.3 Available for sale financial assets

Available-for-sale investments include equity securities and debt securities. Equity investments classified as available-for-sale are those which are neither classified as held for trading nor designated at fair value through profit or loss. Debt securities in this category are intended to be held for an indefinite period of time and may be sold in response to needs for liquidity or in response to changes in the market conditions.

After initial measurement, available for sale financial investments are subsequently measured at fair value. Unrealised gains and losses are recognised directly in equity through other comprehensive income in the 'available-for-sale reserve'. When the investment is disposed of, the cumulative gain or loss previously recognised in equity is recycled to the income statement in 'other operating income'. Where the company holds more than one investment in the same security, they are deemed to be disposed of on a first-in first-out basis. Interest earned whilst holding available-for-sale financial investments is reported as 'interest income' using the EIR.

Dividends earned whilst holding available-for-sale financial investments are recognised in the income statement as 'other operating income' when the right to receive the payment has been established. The losses arising from impairment of such investments are recognised in the income statement in 'impairment losses on financial investments' and removed from the 'available for sale reserve'.

3.1.4.4 Loans and receivables

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. After initial measurement, such financial assets are subsequently measured at amortised cost using the effective interest rate method (EIR), less impairment. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortisation is included in finance income in the income statement. The losses arising from impairment are recognised in the income statement in 'Impairment changes for loans and other losses'.

Loans and receivables include loans and advances to customers and other loans and advances.

3.1.4.5 Loans and advances to customers

Loans and advances to customers include non-derivative financial assets with fixed or determinable payments that are not quoted in an active market.

Loans and advances to customers include hire purchase, lease receivable, factoring and pawning advances.

When the company is the lessor in a lease agreement that transfers substantially all the risks and rewards incidental to ownership of the asset to the lessee, the arrangement is classified as a finance lease. Assets hired to customers under hire purchase agreements which transfer all the risks and rewards incidentals to ownership as well as the legal title at the end of such contractual period are classified as hire purchase (HP) arrangements.

Amount receivable under finance leases and hire purchases net of initial rentals received, unearned lease income and provision for impairment are classified as hire purchases and Lease receivable and are presented within Loans and Advances to customers.

After initial measurement, amounts 'loans and advances to customers' are subsequently measured at amortised cost using the EIR, less allowance for impairment. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees and costs that are an integral part of the EIR. The amortisation is included in 'interest and similar income' in the income statement. The losses arising from impairment are recognised in the income statement in 'impairment of changes for loans and other losses'.

3.1.5 Cash and cash equivalents

Cash and cash equivalents are defined as cash in hand, short-term highly liquid investments readily convertible to known amounts of cash and subject to insignificant risk of changes in value.

They are brought to financial statements at their face values or the gross values, where appropriate. Cash and cash equivalents are carried at amortised cost in the statement of financial position.

For the purpose of cash flow statement, cash and cash equivalents consist of cash in hand and deposits in banks and net of outstanding bank overdrafts.

3.1.6 Financial liabilities

3.1.6.1 Classification and subsequent measurement of financial liabilities

At inception a financial liability is classified into one of the following categories:

- At fair value through profit or loss, and within this category as :
 - Held for trading; or
 - Designated at fair value through profit or loss.
- At amortised cost

The subsequent measurement of financial liabilities depends on their classification.

3.1.6.2 Financial liabilities at fair value through profit or loss

Financial liabilities at fair value through profit or loss include financial liabilities held for trading and financial liabilities designated upon initial recognition as at fair value through profit or loss.

Financial liabilities are classified as held for trading if they are acquired principally for the purpose of selling or repurchasing in the near term or holds as a part of a portfolio that is managed together for short-term profit or position taking. Gains or losses on liabilities held for trading are recognised in the income statement.

Financial liabilities designated at fair value through profit or loss are recorded in the statement of financial position at fair value. Changes in fair value are recorded in “net gain or loss on financial assets and liabilities designated at fair value through profit or loss”. The company has not designated any financial liabilities upon initial recognition as at fair value through profit or loss.

3.1.6.3 Financial liabilities at amortised cost

Financial instruments issued by the company that are not designated at fair value through profit or loss, are classified as liabilities under ‘deposits due to customers’, ‘subordinated term debts’ or ‘interest bearing borrowings’ as appropriate, where the substance of the contractual arrangement results in the company having an obligation either to deliver cash or another financial asset to the holder, or to satisfy the obligation other than by the exchange of a fixed amount of cash or another financial asset for a fixed number of own equity shares.

After initial recognition, such financial liabilities are subsequently measured at amortised cost using the EIR method. amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortisation is included in ‘interest expenses’ in the income statement. Gains and losses are recognised in the income statement when the liabilities are derecognised as well as through the EIR amortisation process.

3.1.7 Reclassification of financial instruments

The company reclassifies non-derivative financial assets out of the ‘held for trading’ category and into the ‘available-for-sale’, ‘loans and receivables’, or ‘held to maturity’ categories as permitted by the Sri Lanka Accounting Standards - LKAS 39 on ‘Financial Instruments: Recognition and Measurement’. Further, in certain circumstances, the company is permitted to reclassify financial instruments out of the ‘available-for-sale’ category and into the ‘loans and receivables’ category. Reclassifications are recorded at fair value at the date of reclassification, which becomes the new amortised cost.

For a financial asset with a fixed maturity reclassified out of the ‘available-for-sale’ category, any previous gain or loss on that asset that has been recognised in equity is amortised to profit or loss over the remaining life of the asset using the EIR. Any difference between the new amortised cost and the expected cash flows is also amortised over the remaining life of the asset using the EIR. In case a financial asset does not have a fixed maturity, the gain or loss is recognised in the profit or loss when

such financial asset is sold or disposed of. If the financial asset is subsequently determined to be impaired, then the amount recorded in equity is recycled to the income statement.

The company may reclassify a non-derivative trading asset out of the 'held for trading' category and into the 'loans and receivables' category if it meets the definition of loans and receivables and the company has the intention and ability to hold the financial asset for the foreseeable future or until maturity.

If a financial asset is reclassified, and if the company subsequently increases its estimates of future cash receipts as a result of increased recoverability of those cash receipts, the effect of that increase is recognised as an adjustment to the EIR from the date of the change in estimate.

Reclassification is at the election of management, and is determined on an instrument-by-instrument basis.

The company does not reclassify any financial instrument into the fair value through profit or loss category after initial recognition. Further, the company does not reclassify any financial instrument out of the fair value through profit or loss category if upon initial recognition it was designated as at fair value through profit or loss.

3.1.8 De recognition of financial assets and financial liabilities

3.1.8.1 Financial assets

Financial assets (or, where applicable or a part of a financial asset or part of a group of similar financial assets) is derecognised when;

- The rights to receive cash flows from the asset have expired; or
- The company has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement; and either:
 - the company has transferred substantially all the risks and rewards of the assets, or
 - the company has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

When the company has transferred its rights to receive cash flows from an asset or has entered into a pass through arrangement, and has neither transferred nor retained substantially all of the risks and rewards of the assets nor transferred control of it, the asset is recognised to the extent of the company's continuing involvement in it. In that case, the company also recognises an associated

liability. The transferred assets and the associated liabilities are measured on a basis that reflects the right and obligation that the company has retained.

Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration that the company could be required to repay.

3.1.8.2 Financial liabilities

A financial liability is derecognised when the obligation under liability is discharged, cancelled or expired.

3.1.8.3 Repurchase and reverse repurchase agreements

Securities sold under agreements to repurchase at a specified future date are not derecognised from the statement of financial position as the company retains substantially all of the risks and rewards of ownership. The corresponding cash received is recognised in the statement of financial position as an asset with a corresponding obligation to return it, including accrued interest as a liability within 'repurchase agreements', reflecting the transaction's economic substance as a loan to the company. The difference between the sale and repurchase prices is treated as interest expense and is accrued over the life of agreement using the EIR.

Conversely, securities purchased under agreements to resell at a specified future date are not recognised in the statement of financial position. The consideration paid, including accrued interest, is recorded in the statement of financial position, within 'reverse repurchase agreements', reflecting the transaction's economic substance as a loan by the company. The difference between the purchase and resale prices is recorded in 'net interest income' and is accrued over the life of the agreement using the EIR.

3.1.9 Impairment of financial assets

The company assesses at each reporting date, whether there is any objective evidence that a financial asset or a group of financial assets is impaired. A financial asset or a group of financial assets is deemed to be impaired if, and only if, there is objective evidence of impairment as a result of one or more events that have occurred after the initial recognition of the asset (an 'incurred loss event') and that loss event (or events) has an impact on the estimated future cash flows of the financial asset or the group of financial assets that can be reliably estimated.

In addition, for an investment in an equity security, a significant or prolonged decline in its fair value below its cost is objective evidence of impairment.

3.1.9.1 Impairment of financial assets carried at amortised cost

For financial assets carried at amortised cost (such as loans and advances to customers as well as held to maturity investments), the company first assesses individually whether objective evidence of impairment exists for financial assets that are individually significant. If the company determines that no objective evidence of impairment exists for an individually assessed financial asset, it includes the asset in a group of financial assets with similar credit risk characteristics and collectively assesses them for impairment.

Assets that are individually assessed for impairment and for which an impairment loss continues to be recognised are not included in the collective assessment of impairment.

If there is an objective evidence that an impairment loss has been incurred, the amount of the loss is measured as the difference between the asset's carrying amount and the present value of estimated future cash flows (excluding future expected credit losses that have not yet been incurred). The carrying amount of the asset is reduced through the use of an impairment account and the amount of impairment loss is recognized in the income statement.

Interest income continues to be accrued on the reduced carrying amount/impaired balance and is accrued using the rate of interest used to discount the future cash flows for the purpose of measuring the impairment loss. The interest income is recorded as part of 'interest income'.

Loans together with the associated allowances are written-off when there is no realistic prospect of future recovery and all collateral has been realised or has been transferred to the company. If, in a subsequent year, the amount of the estimated impairment loss increases or decreases because of an event occurring after the impairment was recognised, the previously recognised impairment loss is increased or reduced by adjusting the impairment account. If a write-off is later recovered, the recovery is credited to the "other income".

The present value of the estimated future cash flows is discounted at the financial asset's original EIR. If a loan has a variable interest rate, the discount rate for measuring any impairment loss is the current EIR. If the company has reclassified trading assets to loans and advances, the discount rate for measuring any impairment loss is the new EIR determined at the reclassification date. The calculation of the present value of the estimated future cash flows of a collateralised financial asset reflects the cash flows that may result from foreclosure less costs for obtaining and selling the collateral.

For the purpose of collective evaluation of impairment, financial assets are grouped on the basis of the company's internal credit grading system that considers credit risk characteristics such as asset type, collateral type, past-due status and other relevant factors.

Future cash flows on a group of financial assets that are collectively evaluated for impairment are estimated on the basis of historical loss experience for assets with similar credit risk characteristics. Historical loss experience is adjusted on the basis of current observable data to reflect the effects of current conditions on which the historical loss experience is based and to remove the effects of conditions in the historical period that do not exist currently.

If the amount of an impairment loss decreases in a subsequent period, and the decrease can be related objectively to an event occurring after the impairment was recognised, the excess is written back by reducing the loan impairment allowance account accordingly. The write-back is recognised in the income statement.

3.1.9.2 Impairment of available for sale financial investments

For available for sale financial investments, the company assesses at each reporting date whether there is objective evidence that an investment is impaired.

In the case of debt instruments classified as available-for-sale, the company assesses individually whether there is objective evidence of impairment based on the same criteria as financial assets carried at amortised cost. However, the amount recorded for impairment is the cumulative loss measured as the difference between the amortised cost and the current fair value, less any impairment loss on that investment previously recognised in the income statement. Future interest income is based on the reduced carrying amount/impaired balance and is accrued using the rate of interest used to discount the future cash flows for the purpose of measuring the impairment loss.

The interest income on such assets too is recorded within 'interest income'. If, in a subsequent period, the fair value of a debt instrument increases and the increase can be objectively related to a credit event occurring after the impairment loss was recognised in the income statement, the impairment loss is reversed, with the amount of the reversal recognised in the income statement.

In the case of equity investments classified as available for sale, objective evidence would also include a 'significant' or 'prolonged' decline in the fair value of the investment below its cost. Where there is evidence of impairment, the cumulative loss measured as the difference between the acquisition cost and the current fair value, less any impairment loss on that investment previously recognised in the equity through other comprehensive income is removed from equity and recognised in the income statement. However, any subsequent recovery in the fair value of an impaired available-for-sale equity security is recognised in other comprehensive income.

The company writes-off certain financial investment available-for-sale when they are determined to be uncollectible.

3.1.9.3 Renegotiated loans

Where possible, the company seeks to restructure loans rather than to take possession of collateral. This may involve extending the payment arrangements and the agreement of new loan conditions. Once the terms have been renegotiated, any impairment is measured using the original effective interest rate (EIR) as calculated before the modification of terms and the loan is no longer considered past due. Management continually reviews renegotiated loans to ensure that all criteria are met and that future payments are likely to occur. The loans continue to be subject to an individual or collective impairment assessment, calculated using the loan's original EIR.

3.1.9.4 Collateral repossessed or where properties have devolved to the company

The company's policy is to determine whether a repossessed or devolved asset is best used for its internal operations or should be sold. Assets determined to be useful for internal operations are transferred to their relevant asset category at the lower of their repossessed value or the carrying value of the original secured asset. Assets that are determined better to be sold are immediately

transferred to assets held for sale at their fair value at the repossession date in line with the company's policy. The assets held by company for temporary periods pending unexecuted auctions or any suitable recovery methods are not shown as investment properties.

3.1.10 Offsetting financial assets and liabilities

Financial assets and financial liabilities are offset and the net amount reported in the statement of financial position if, and only if, there is a currently enforceable legal right to offset the recognised amounts and there is an intention to settle on a net basis, or to realise the asset and settle the liability simultaneously.

3.1.11 Determination of fair value

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- in the principal market for the asset or liability or
- in the absence of a principal market, in the most advantageous market for the asset or liability.

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorised within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

- Level 1 - Quoted (unadjusted) market prices in active markets for identical assets or liabilities
- Level 2 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable
- Level 3 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable

Level 1

When available, the company measures the fair value of an instrument using active quoted prices or dealer price quotations (assets and long positions are measured at a bid price; liabilities and short positions are measured at an asking price), without any deduction for transaction costs. A market is regarded as active if quoted prices are readily and regularly available and represent actual and regularly occurring market transactions on an arm's length basis.

Level 2

If a market for a financial instrument is not active, then the company establishes fair value using a valuation technique. Valuation techniques include using recent arm's length transactions between knowledgeable, willing

parties (if available), reference to the current fair value of other instruments that are substantially the same, discounted cash flow analyses, credit models, option pricing models and other relevant valuation models.

The chosen valuation technique makes maximum use of market inputs, relies as little as possible on estimates specific to the company, incorporates all factors that market participants would consider in setting a price, and is consistent with accepted economic methodologies for pricing financial instruments. Inputs to valuation techniques reasonably represent market expectations and measures of the risk-return factors inherent in the financial instrument. The company calibrates valuation techniques and tests them for validity using prices from observable current market transactions in the same instrument or based on other available observable market data.

The best evidence of the fair value of a financial instrument at initial recognition is the transaction price, i.e. the fair value of the consideration given or received, unless the fair value of that instrument is evidenced by comparison with other observable current market transactions in the same instrument, i.e. without modification or repackaging, or based on a valuation technique whose variables include only data from observable markets.

When transaction price provides the best evidence of fair value at initial recognition, the financial instrument is initially measured at the transaction price and any difference between this price and the value initially obtained from a valuation model is subsequently recognised in profit or loss on an appropriate basis over the life of the instrument but not later than when the valuation is supported wholly by observable market data or the transaction is closed out.

Level 3

Certain financial instruments are recorded at fair value using valuation techniques in which current market transactions or observable market data are not available. Their fair value is determined by using valuation models that have been tested against prices or inputs to actual market transactions and also using the best estimate of the most appropriate model assumptions. Models are adjusted to reflect the spread for bid and ask prices to reflect costs to close out positions, credit and debit valuation adjustments, liquidity spread and limitations in the models. Also, profit or loss calculated when such financial instruments are first recorded ('Day 1' profit or loss) is deferred and recognised only when the inputs become observable or on derecognition of the instrument.

3.2 Inventories

Inventories consist of stationaries purchased for the office use. Inventories are measured at lower of cost or net realizable value.

Cost of inventories is based on the first in first out principle, and includes expenditure incurred in acquiring the inventories and other costs incurred in bringing them to their existing location and condition.

3.3 Property, plant and equipment

Property, plant and equipment are tangible items that are held for use in the supply of services, or for administrative purposes and are expected to be used for more than one year period.

3.3.1 Recognition

Property, plant and equipment are recognized if it is probable that future economic benefits associated with the assets will flow to the company and cost of the asset can be reliably measured. The cost of certain items of property, plant and equipment was determined by reference to a previous SLASs revaluation. The company elected to apply the optional exemption to use this previous revaluation as deemed cost at 01st April 2011, the date of transition.

3.3.2 Measurement

Items of property, plant and equipment are stated at cost or valuation less accumulated depreciation and accumulated impairment losses.

Cost includes expenditures that are directly attributable to the acquisition of the asset. The cost of self-constructed assets includes the cost of materials and direct labour, any other costs directly attributable to bringing the assets to a working condition for their intended use, the cost of dismantling and removing the items and restoring the site on which they are located.

When parts of an item of property, plant and equipment have different useful lives, they are accounted for as separate items (major components) of property, plant and equipment.

Gains and losses on disposal of an item of property, plant and equipment are determined by comparing the proceeds from disposal with the carrying amount of property, plant and equipment, and are recognized net within other income in profit and loss.

Purchased software that is integrated to the functionality of the related equipment is capitalized as intangible assets.

3.3.3 Subsequent expenditure

Expenditure incurred to replace a component of an item of property, plant and equipment that is accounted for separately, including major inspection and overhaul expenditure, is capitalized. The cost of replacing part of an item of property, plant and equipment is recognized in the carrying amount of the item, if it is probable that the future economic benefits embodied within the part will flow to the company and its cost can be measured reliably. The carrying amount of the replaced part is derecognized. The cost of the day-to-day servicing of property, plant and equipment are recognized in profit or loss as incurred. When replaced costs are recognized in the carrying amount of an item of property, plant and equipment, the remaining carrying amount of the replaced part is derecognized.

3.3.4 Depreciation

Depreciation is recognized in the income statement on a straight-line basis over the estimated useful lives of each part of an item of property, plant and equipment. Leased assets are depreciated over the

shorter of the lease terms and other useful lives unless it is reasonably certain that the company will obtain ownership by the end of the lease period.

The estimated useful lives for the current and comparative periods are as follows:

Freehold buildings	50 years
furniture and fittings	4 years
office equipment	4 years
computer equipment	4 years
motor vehicles	4 years

Depreciation of an asset begins when it is available for use, i.e. when it is in the location and condition necessary for it to be capable of operating in the manner intended by the management. Depreciation of an asset ceases at the earlier of the date that the asset is classified as held for sale (or included in a disposal group that is classified as held for sale) and the date that the asset is derecognized.

Depreciation methods, useful lives and residual values are reviewed at each financial year end and adjusted if appropriate.

3.4 Finance and operating leases

The determination of whether an arrangement is a lease or it contains a lease, is based on the substance of the arrangement and requires an assessment of whether the fulfillment of the arrangement is dependent on the use of a specific asset or assets and the arrangement conveys a right to use the asset.

3.4.1 Finance lease

Agreements which transfer to counterparties substantially all the risks and rewards incidental to the ownership of assets but not necessarily a legal title, are classified as finance leases. When the company is a lessor under a finance lease the amounts due under the lease, after deduction of unearned charges, are included in 'loans and receivables from customers'. The finance income receivable is recognised in 'interest income' over the periods of the leases so as to give a constant rate of return on the net investment in the leases.

When the company is a lessee under finance leases, the leased assets are capitalised and included in 'property, plant and equipment' and the corresponding liability to the lessor is included in 'other liabilities'. A finance lease and its corresponding liability are recognised initially at the fair value of the asset or, if lower, the present value of the minimum lease payments. Finance charges payable are recognised in 'net interest income' over the period of the lease based on the interest rate implicit in the lease so as to give a constant rate of interest on the remaining balance of the liability.

3.4.2 Operating lease

All other leases are classified as operating leases. When acting as lessor, the company includes the assets subject to operating leases in 'property, plant and equipment' and accounts for them accordingly. Impairment losses are recognised to the extent that residual values are not fully recoverable and the

carrying value of the assets is thereby impaired. When the company is the lessee, leased assets are not recognised on the statement of financial position. Rentals payable and receivable under operating leases are accounted for on a straight-line basis over the periods of the leases and are included in 'general and administrative expenses' and 'other operating income', respectively.

3.5 Intangible assets

Intangible assets acquired separately are measured initially at cost. Following the initial recognition of the intangible assets, the cost model is applied requiring the assets to be carried at cost less any accumulated amortization and accumulated impairment losses.

3.5.1 Intangible assets with finite lives and amortization

Intangible assets with finite lives are amortized over the useful economic life and assessed for impairment whenever there is an indication that the intangible asset may be impaired. The amortization period and the amortization method for an intangible asset with a finite useful life is reviewed at least at each financial year end. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset is accounted for by changing the amortization period or method, as appropriate, and treated as changes in accounting estimates. The amortization expense on intangible assets with finite lives is recognized in the income statement in the expense category consistent with the function/nature of the intangible asset. Amortization is commenced when the assets are available for use.

3.5.1.1 Computer software

Computer software is amortized over four years from the date of acquisition.

3.5.2 Intangible assets with indefinite lives and amortization

Intangible assets with indefinite useful lives are not amortized but are tested for impairment annually either individually or at the CGU level as appropriate, when circumstances indicate that the carrying value is impaired. The useful life of an intangible asset with an indefinite life is reviewed annually to determine whether indefinite life assessment continues to be supportable. If not, the change in the useful life assessment from indefinite to finite is made on a prospective basis.

3.5.2.1 Brand value

Brand value is not amortized and are tested for impairment annually.

3.5.3 Derecognition of intangible assets

Intangible assets derecognized on disposal or when no future economic benefits are expected from its use. Gains or losses arising from derecognition of an intangible asset are measured as the difference between the net proceeds and the carrying amount of the asset and are recognized in the income statement.

3.6 Impairment of non-financial assets

3.6.1 Recognition

The carrying values of the company's assets are reviewed at each reporting date to determine whether there is any indication of impairment.

If any such indication exists, the asset's recoverable amount is estimated (see below). An impairment loss is recognized whenever the carrying amount of asset or its cash-generating unit exceeds its recoverable amount. Impairment losses are recognized in the income statement.

For the assets that have indefinite useful life and intangible assets that are not yet available for use, the recoverable amount is estimated at each reporting date.

3.6.2 Calculation of recoverable amount

The recoverable amount is the greater of their net selling and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using discount rate that reflects the current market assessment of their time value of money and the risk specific to the asset. For an asset that does not generate largely independent cash inflows, the recoverable amount is determined for the cash-generating unit to which the asset belongs.

3.6.3 Reversal of impairment

An impairment loss is reversed if there is a change in the estimates used to determine the recoverable amount.

An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortization, if no impairment loss had been recognized.

3.7 Deposits due to customers

These include term deposits and certificates of deposits. Subsequent to initial recognition, deposits are measured at their amortised cost using the effective interest method, except where the company designates liabilities at fair value through profit or loss. They are stated in the statement of financial position at amount payable. Interest paid / payable on these deposits based on effective interest rate is charged to the income statement.

3.8 Debt securities issued and subordinated term debts

These represent the funds borrowed by the company for long-term funding requirements. Subsequent to initial recognition debt securities issued are measured at their amortised cost using the effective interest method, except where the company designates debt securities issued at fair value through profit or loss. Interest paid/payable is recognised in the income statement.

3.9 Other liabilities

Other liabilities are recorded at amounts expected to be payable at the reporting date.

3.10 Employee benefits

3.10.1 Defined contribution plans

A defined contribution plan is a post-employment benefit plan under which an entity pays fixed contributions into a separate entity and will have no legal or constructive obligation to pay further amounts. Obligations for contributions to defined contribution plans are recognized as an employee benefit expense in profit or loss in the periods during which services are rendered by employees.

3.10.1.1 Employees' Provident Fund (EPF)

The company and employees contribute 12% and 8% respectively on the salary of each employee to the approved provident fund.

3.10.1.2 Employees' Trust Fund (ETF)

The company contributes 3% of the salary of each employee to the Employees' Trust Fund.

3.10.2 Defined benefit plans

3.10.2.1 Retirement benefit obligations

A defined benefit plan is a post-employment benefit plan other than a defined contribution plan. The company's net obligation in respect of defined benefit pension plans is calculated by estimating the amount of future benefit that employees have earned in return for their service in the current and prior periods; that benefit is discounted to determine its present value. Any unrecognized past service costs are deducted.

The calculation is performed by a qualified actuary using "Projected Unit Credit" method. For the purpose of determining the charge for any period before the next regular actuarial valuation falls due, an approximate estimate provided by the qualified actuary is used. The assumptions based on which the results of actuarial valuation was determined are included in the note 30 to the financial statements.

The company recognizes all actuarial gains and losses arising from the defined benefit plan and all expenses related to defined benefit plans in the income statement and actuarial gains and losses in the other comprehensive income.

This retirement benefit obligation is not externally funded.

However, according to the payment of Gratuity Act No. 12 of 1983, the liability for the gratuity payment to an employee arises only on the completion of 5 years of continued service with the company.

3.10.3 Short term employee benefits

Short-term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided.

3.11 Provisions

A provision is recognised in the statement of financial position when the company has a legal or constructive obligation as a result of a past event and it is probable that an outflow of economic benefits will be required to settle the obligation and the amount of the provision can be measured reliably in accordance with the Sri Lanka Accounting Standard - LKAS 37 on 'Provisions, Contingent Liabilities and Contingent Assets'.

The amount recognised is the best estimate of the consideration required to settle the present obligation at the reporting date, taking into account the risks and uncertainties surrounding the obligation at that date. Where a provision is measured using the cash flows estimated to settle the present obligation, its carrying amount is determined based on the present value of those cash flows.

3.12 Capital commitments and contingencies

Contingent liabilities are possible obligations whose existence will be confirmed only by uncertain future events or present obligations where the transfer of economic benefits is not probable or cannot be reliably measured.

Capital commitment and contingent liabilities of the company are disclosed in the respective notes to the financial statements.

3.13 Events occurring after the reporting date

All material events after the reporting period have been considered and where appropriate adjustments or disclosures have been made in the respective notes to the financial statements.

3.14 Income statement

3.14.1 Revenue recognition

Revenue is recognised to the extent that it is probable that the economic benefits will flow to the company and the revenue can be reliably measured. The following specific recognition criteria are ascertained before revenue is recognised.

3.14.1.1 Interest income and interest expense

For all financial instruments measured at amortised cost, interest bearing financial assets classified as available for sale and financial instruments designated at fair value through profit or loss, interest income or expense is recorded using the EIR. EIR is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument or a shorter period, where appropriate, to the net carrying amount of the financial asset or financial liability.

The calculation takes into account all contractual terms of the financial instrument (for example, pre-payment options) and includes any fees or incremental costs that are directly attributable to the instrument and are an integral part of the EIR, but not future credit losses.

The calculation of the EIR takes into account all contractual terms of the financial instrument (for example, pre-payment options) and includes all material transaction costs and fees and points paid or received that are an integral part of the EIR. Transaction costs include incremental costs that are directly attributable to the acquisition or issue of a financial asset or liability.

The carrying amount of the financial asset or financial liability is adjusted if the company revises its estimates of payments or receipts. The adjusted carrying amount is calculated based on the original EIR and the change in carrying amount is recorded in 'Interest Income' for financial assets and in 'Interest and similar expense' for financial liabilities. However, for a reclassified financial asset for which the company subsequently increases its estimates of future cash receipts as a result of increased recoverability of those cash receipts, the effect of that increase is recognised as an adjustment to the EIR from the date of the change in estimate. Once the recorded value of a financial asset or a group of similar financial assets has been reduced due to an impairment loss, interest income continues to be recognised using the rate of interest used to discount the future cash flows for the purpose of measuring the impairment loss.

3.14.1.2 Dividend income

Dividend income is recognised when the company's right to receive the payment is established.

3.14.1.3 Fees and commission income and expense

Fees and commission income and expense that are integral to the EIR on a financial asset or liability are included in the measurement of the EIR. Other fees and commission income are recognised as the related services are performed.

3.14.1.4 Interest on overdue rentals

Overdue interest is charged on loans and advances which are not paid on due date and accounted for on the cash basis.

3.14.1.5 Profit or loss on disposal of property, plant and equipment

Profits or losses resulting from disposal of property, plant and equipment have been accounted on cash basis in the income statement.

3.14.1.6 Recovery of bad and doubtful debts written off

Recovery of amounts written off as bad and doubtful debts is recognized on a cash basis.

3.14.2 Expenditure

All expenditure incurred in running of the business and in maintaining the property, plant and equipment in a state of efficiency has been charged to revenue in arriving at the profit for the year.

Expenditure incurred for the purpose acquiring, expanding or improving assets of a permanent nature by means of which to carry on the business or for the purpose of increasing the earning capacity of the business has been treated as capital expenditure.

Repairs and renewals are charged to revenue in the year in which the expenditure is incurred.

Minimum lease payments made under finance leases are apportioned between the finance expense and the reduction of the outstanding liability.

The finance expense is allocated to each period during the lease term so as to produce a constant periodic rate of interest on the remaining balance of the liability. Contingent lease payments are accounted for by revising the minimum lease payments over the remaining term of the lease when the lease adjustment is confirmed.

The profit earned by the company before taxation as shown in the Income Statement is after making provision for all known liabilities and for the depreciation of property, plant and equipment.

3.14.2.1 Borrowing costs

Borrowing costs that are directly attributable to the acquisition, construction or production of qualifying assets that take a substantial period of time to get ready for its intended use or sale, are capitalized as part of the asset.

Borrowing costs that are not directly attributable to the acquisition, construction or production of a qualifying asset are recognized in profit or loss using the effective interest method.

3.15 Taxes

3.15.1 Income tax expense

Income tax on the profit for the year comprises current and deferred tax. Income tax is recognized directly in the income statement except to the extent that it relates to items recognized directly in equity, in which case it is recognized in equity.

Current taxes

Current tax assets and liabilities consist of amounts expected to be recovered from or paid to the taxation authorities in respect of the current as well as prior years. The tax rates and tax laws used to compute the amounts are those that are enacted or substantially enacted by the reporting date. Accordingly, provision for taxation is made on the basis of the accounting profit for the year as adjusted for taxation purposes in accordance with the provisions of the Inland Revenue Act No. 10 of 2006 and the amendments thereto, at the rates specified in the note 12 to the financial statements. This note also includes the major components of tax expense, the effective tax rates and a reconciliation between the profit before tax and tax expense as required by the Sri Lanka Accounting Standard - LKAS 12 on 'Income Taxes'.

Deferred Tax

Deferred tax is provided on all temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the tax base of assets and liabilities, which is the amount attributed to those assets and liabilities for tax purposes. The amount of deferred tax provided is based on the expected manner of realization or settlement of the carrying amount of assets and liabilities, using tax rates enacted by the reporting date.

Deferred tax assets including those related to temporary tax effects of income tax losses and credits available to be carried forward, are recognized only to the extent that it is probable that future taxable profits will be available against which the asset can be utilized. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realized.

3.15.2 Value Added Tax on financial services

VAT on financial services is calculated in accordance with the amended VAT Act No.07 of 2003. The Base for the computation of VAT on financial services is the accounting profit before income tax adjusted for the economic depreciation and emoluments of employees computed on prescribed rate.

3.15.3 Withholding Tax on dividends

Dividends distributed out of taxable profit of the local companies attract a 10% deduction at source and is not available for set off against the tax liability of the company. Withholding Tax that arises from the distribution of dividends by the company is recognized at the same time as the liability to pay the related dividends is recognized.

3.15.4 Nation Building Tax (NBT) on financial services

NBT on financial services is calculated in accordance with Nation Building Tax (Amendment) Act No. 10 of 2014. NBT on financial services is payable on same base subject to Value Added Tax on financial services.

3.15.5 Crop Insurance Levy (CIL)

As per the provisions of the Section 14 of the Finance Act No. 12 of 2013, the CIL was introduced with effect from April 01, 2013 and is payable to the National Insurance Trust Fund. Currently, the CIL is payable at 1% of the profit after tax.

3.16 Earnings per share

The financial statements present basic earnings per share (EPS) for its ordinary shareholders. The basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the company by the weighted average number of ordinary shares outstanding during the period. Diluted EPS is determined by adjusting the profit or loss attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding, for the effects of all dilutive potential ordinary shares.

3.17 Cash flow statement

The cash flow statement has been prepared using the "indirect method". Interest paid are classified as operating cash flows, interest and dividend received are classified as investing cash flows while dividends paid are classified as financing cash flows for the purpose of presenting of the cash flow statement.

3.18 Regulatory provisions

3.18.1 Deposit insurance scheme

In terms of the Finance Companies Direction No 2 of 2010 “Insurance of Deposit Liabilities” issued on 27th September 2010 all registered finance companies are required to insure their deposit liabilities in the deposit insurance scheme operated by the Monetary Board in terms of Sri Lanka Deposit Insurance Scheme Regulations No 1 of 2010 issued under Sections 32A to 32E of the Monetary Law Act with effect from 01st October, 2010. Deposits to be insured include demand, time and savings deposit liabilities and exclude the following:

- Deposit liabilities to member institutions.
- Deposit liabilities to Government of Sri Lanka.
- Deposit liabilities to shareholders, directors, key management personnel and other related parties as defined in Finance Companies Act Direction No 03 of 2008 on Corporate Governance of registered finance companies.
- Deposit liabilities held as collateral against any accommodation granted.
- Deposit liabilities falling within the meaning of dormant deposits in terms of the Finance Companies Act, funds of which have been transferred to Central Bank of Sri Lanka.

Registered finance companies are required to pay a premium of 0.15% on eligible deposit liabilities as at the end of the month to be payable within a period of 15 days from the end of the respective month.

3.19 Reserves

3.19.1 Statutory reserve fund

The statutory reserve fund is maintained in terms of licensed finance company (Capital Funds) direction No.01 of 2003. Accordingly, the company should transfer funds out of net profits of each year after due provision has been made for taxation and bad and doubtful debts.

- If capital funds are not less than twenty five percent of total deposit liabilities a sum equal to not less than five percent of the net profits;
- If capital funds are less than twenty five percent of total deposit liabilities but not less than ten percent thereof, a sum equal to not less than twenty percent of the net profits;
- If capital funds are less than ten percent of total deposit liabilities a sum equal to not less than fifty percent of the net profits.

3.19.2 Available for sale reserve

This has been created in order to account the fair value changes of available for sale financial assets.

3.20 Segment reporting

An operating segment is a component of the company that engages in business activities from which it may earn revenues and incur expenses, including revenues and expenses that relate to transactions with any of the company's other components, whose operating results are reviewed regularly by the company's management to make decisions about resources allocated to each segment and assess its performance, and for which discrete financial information is available.

For each of the strategic divisions, the company's management monitors the operating results separately for the purpose of making decisions about resource allocation and performance assessment. Segment performance is evaluated based on operating profits or losses which, in certain respects, are measured differently from operating profits or losses in the financial statements. Income taxes are managed on a company basis and are not allocated to operating segments.

3.21 Standards issued but not yet effective

The following Sri Lanka Accounting Standards were issued by the Institute of Chartered Accountants of Sri Lanka and is effective for the periods commencing on or after of 01st January, 2016.

SLFRS 9 - Financial instruments: classification and measurement

SLFRS 9, as issued, reflects the first phase of work on replacement of LKAS 39 and applies to classification and measurement of financial assets and liabilities as defined in LKAS 39.

SLFRS 09 was issued in 2012 and this standard will become effective on 1st January 2018. The impact on the implementation of the above standard has not been quantified yet.

SLFRS 14 - Regulatory deferral accounts

The scope of this standard is to specify the financial reporting requirements for regulatory deferral account balances that arise when an entity provides goods or services to customers at a price or rate that is subject to rate regulation.

SLFRS 14 will become effective on 01st January, 2016. The impact on the implementation of the above standard has not been quantified yet.

SLFRS 15 - Revenue from contracts with customers

The objective of this standard is to establish the principles that an entity shall apply to report useful information to users of financial statements about the nature, amount, timing and uncertainty of revenue and cash flows arising from a contract with a customer.

SLFRS 15 will become effective on 01st January, 2017. The impact on the implementation of the above standard has not been quantified yet.

IFRS 16 - Leases

IFRS 16 eliminates the classification of leases as either operating or finance for lessees and instead, introduce a single lessee accounting model. This model reflects that leases result in a company obtaining the right to use an asset at the start of the lease and, because most lease payments are made over time, also, obtaining financing. As a result, the new standard requires lessees to account for all of their leases in a manner similar to how finance leases were treated applying IAS 17.

The new standard IFRS 16, supersedes the requirement in IAS 17 leases and will become effective on 01st January, 2019.

For the year ended 31st March

	2016 Rs.	2015 Rs.
4. INCOME		
Interest income (Note 5)	2,229,745,733	1,283,086,649
Fee and commission income (Note 7)	84,986,691	21,384,098
Other operating income (Note 8)	48,419,248	58,193,686
	<u>2,363,151,672</u>	<u>1,362,664,433</u>
5. INTEREST INCOME		
Finance lease	1,179,007,211	159,318,216
Hire purchase	620,915,522	775,408,318
Factoring	109,033,085	-
Loans	237,059,137	252,053,565
Gold loans	915,781	-
Interest income on investments	82,814,997	96,306,550
	<u>2,229,745,733</u>	<u>1,283,086,649</u>
5.1 Finance Lease		
Interest Income	1,038,786,000	159,318,216
Overdue Interest	140,221,211	-
	<u>1,179,007,211</u>	<u>159,318,216</u>
5.2 Hire Purchase		
Interest Income	611,082,278	775,408,318
Overdue Interest	9,833,244	-
	<u>620,915,522</u>	<u>775,408,318</u>
5.3 Factoring		
Interest Income	95,720,239	-
Overdue Interest	13,312,846	-
	<u>109,033,085</u>	<u>-</u>
5.4 Loan		
Interest Income	230,686,254	252,053,565
Overdue Interest	6,372,883	-
	<u>237,059,137</u>	<u>252,053,565</u>
6. INTEREST EXPENSES		
Interest expense on borrowings	170,205,584	30,316,172
Interest expense on customer deposits	808,726,007	753,147,493
Interest expense on debentures	103,076,054	26,520,000
Interest expense on negotiable instruments	742,190	-
Overdraft interest	13,702,867	(4,704,437)
	<u>1,096,452,702</u>	<u>805,279,228</u>
7. FEE AND COMMISSION INCOME		
Documentation income -Lease and hire purchases	33,602,045	15,502,142
Administration charges -Factoring	28,067,531	-
Insurance commission	23,317,115	5,881,956
	<u>84,986,691</u>	<u>21,384,098</u>
8. OTHER OPERATING INCOME		
Collections from written off contracts	7,100,574	-
Profit on disposal of property, plant and equipment	36,700,876	17,918,189
Profit/(loss) on disposal of AFS financial investments	-	(1,253,121)
Profit on sale of real estate and investment properties	595,136	15,276,309
Rent income	1,653,200	1,776,696
Dividend income	-	571,326
Sundry income	2,369,462	23,904,287
	<u>48,419,248</u>	<u>58,193,686</u>

For the year ended 31st March

	2016 Rs.	2015 Rs.
9. IMPAIRMENT CHARGES /(REVERSALS) FOR LOANS AND RECEIVABLES TO CUSTOMERS		
Specific impairment		
Finance lease	45,590,622	49,406,295
Hire purchase	207,636,590	67,282,600
Loans	13,873,810	3,893,880
Factoring	9,202,437	-
Pawning	(288,324)	-
Collective impairment		
Finance lease	24,289,245	10,349,825
Hire purchase	27,708,525	57,359,356
Factoring	983,708	-
	<u>328,996,613</u>	<u>188,291,956</u>
10. PERSONNEL EXPENSES		
Salaries and other related expenses	306,206,055	109,985,890
Defined contribution plan - EPF	20,529,872	9,692,977
Defined contribution plan - ETF	5,132,466	2,423,244
Defined benefit plan - Gratuity	2,552,085	12,000,000
	<u>334,420,478</u>	<u>134,102,111</u>
11. OTHER OPERATING EXPENSES		
Directors' emoluments	6,120,650	2,425,000
Auditor's remuneration	1,882,380	600,000
Professional and legal fees	17,697,195	7,286,846
Charity and donations	37,325	432,220
Administration and establishment expenses	166,910,854	153,488,113
Advertising and business promotional expenses	67,446,961	15,466,155
Other expenses	3,756,232	26,616,058
	<u>263,851,597</u>	<u>206,314,392</u>

For the year ended 31st March

	2016 Rs.	2015 Rs.
12. INCOME TAX EXPENSE		
Current Tax		
On current year profits (Note 12.1)	-	-
Under provision in respect of previous years	14,492,176	-
Deferred Tax		
Deferred tax reversed to the income statement (Note 21)	(325,503,993)	-
Income tax expense for the year	(311,011,817)	-
12.1 Reconciliation between accounting profit and taxable income		
Profit before income tax expense	295,860,718	4,181,815
Adjustments on disallowable expenses	2,342,328,987	397,000,122
Adjustments on allowable expenses	(2,519,946,536)	(384,244,103)
Statutory income	118,243,169	16,937,834
Less: Tax loss claimed (Note 12.2)	(41,385,109)	(16,937,834)
Assessable income	76,858,060	-
Less: Utilization of qualifying payments (Note 12.3)	(76,858,060)	-
Taxable profit for the year	-	-
Effective tax rate	0.00%	0.00%
12.2 Tax losses		
Tax losses brought forward	179,679,879	179,679,879
Tax losses brought forward from former Orient Finance PLC	616,353,238	-
Tax losses during the year	80,603,384	-
Tax losses claimed during the year	(41,385,109)	-
Tax losses carried forward	835,251,392	179,679,879
12.3 Qualifying Payment on Investment		
Consideration paid to acquire former Orient Finance PLC	1,730,906,250	-
Less : Utilised during the year	(76,858,060)	-
Balance Qualifying Payment Carried Forward	1,654,048,190	-

12.4 Current tax

The company is liable for tax at the rate of 28% on its taxable income in accordance with the Inland Revenue Act No 10 of 2006 and subsequent amendments made thereto.

13 EARNINGS PER SHARE

13.1 Basic earnings per share

The calculation of earnings per share is based on the profit attributable to the ordinary shareholders for the year divided by the weighted average number of ordinary shares outstanding during the year.

For the year ended 31st March,

	2016 Rs.	2015 Rs.
Profit attributable to ordinary shareholders (Rs.)	606,872,535	4,181,815
Weighted average number of ordinary shares	86,700,751	76,506,240
Earnings per share (Rs.)	7.00	0.05

Weighted average number of ordinary shares

At the beginning of the year	7,650,624	7,650,624
Effect on shares issued in lieu of amalgamation	821	-
1:10 subdivision of shares	68,863,005	68,855,616
Effect on shares issued at IPO	10,186,301	-
At the end of the year	86,700,751	76,506,240

13.2 Diluted earning per share

There were no potential dilutive ordinary shares at any time during the year or previous year. Therefore, diluted earning per share is same as basic earnings per share shown above.

14 DIVIDEND PER SHARE

The dividend per share is based on the dividend paid during the year and the number of ordinary shares outstanding as at that date.

For the year ended 31st March

	2016	2015
	Rs	Rs
Dividend paid	-	-
Final dividend (Rs.)	-	-
Dividend per share (Rs.)	-	-

As at 31st March

	2016	2015
	Rs	Rs

15 CASH AND CASH EQUIVALENTS

Cash in hand	25,988,300	19,275,988
Cash at bank	205,689,398	174,759,464
	231,677,698	194,035,452
Bank overdrafts	(433,373,124)	(86,619,893)
Cash and cash equivalents for the purpose of cash flow statement	(201,695,426)	107,415,559

16 AVAILABLE FOR SALE FINANCIAL ASSETS

Investments in government securities (Note 16.1)	751,086,590	588,904,838
Investments in shares (Note 16.2)	5,037,513	3,200,000
	756,124,103	592,104,838

16.1 Investments in government securities

Treasury bills	626,092,090	563,802,353
Treasury bonds	124,994,500	25,102,485
Government securities at fair value	751,086,590	588,904,838

16.2 Investments in shares

Finance House Consortium (Pvt) Ltd	200,000	200,000
Ceylon Index Fund	4,806,913	3,000,000
Credit Information Bureau of Sri Lanka	30,600	-
	5,037,513	3,200,000

As at 31st March

	2016 Rs.	2015 Rs.
17 LOANS AND RECEIVABLES TO CUSTOMERS		
Loans and receivables	18,818,074,451	6,607,604,049
Less: Unearned income	(4,188,926,604)	(1,354,234,104)
Net loans and receivables	14,629,147,847	5,253,369,945
Less: Allowance for specific impairment	(589,803,565)	(197,912,103)
Allowance for collective impairment	(200,040,116)	(67,709,181)
Net loans and receivables	13,839,304,166	4,987,748,661
17.1 Product wise analysis of net loans and receivables		
Finance lease receivables (Note 17.1.1)	8,370,967,264	701,065,256
HP receivables (Note 17.1.2)	2,206,588,971	3,243,698,444
Other loans receivables (Note 17.1.3)	2,073,436,770	1,042,984,961
Factoring receivables (Note 17.1.4)	1,181,470,925	-
Gold loans receivables	6,840,236	-
	13,839,304,166	4,987,748,661
17.1.1 Finance lease receivables		
Gross lease rentals receivables	11,950,889,842	987,130,623
Less: Unearned income	(3,220,671,062)	(194,885,374)
Net lease rentals receivable	8,730,218,780	792,245,249
Less: Allowance for impairment	(359,251,516)	(91,179,993)
Net finance lease receivables	8,370,967,264	701,065,256
Lease rentals receivables within one year		
Gross lease rentals receivables within one year	4,339,158,704	142,782,348
Less: Unearned income	(1,423,858,164)	(30,424,921)
Net lease rentals receivables within one year	2,915,300,540	112,357,427
Lease rentals receivables within one to five years		
Gross lease rentals receivables within one to five years	7,606,797,020	844,348,275
Less: Unearned income	(1,796,486,034)	(164,460,453)
Net lease rentals receivables within one to five years	5,810,310,986	679,887,822
Lease rentals receivables later than five years		
Gross lease rentals receivables within one to five years	4,934,118	-
Less: Unearned income	(326,864)	-
Net lease rentals receivables within one to five years	4,607,254	-
Total	8,730,218,780	792,245,249

As at 31st March

	2016 Rs.	2015 Rs.
17 LOANS AND RECEIVABLES TO CUSTOMERS (CONTD...)		
17.1.2 Hire purchase receivables		
Gross hire purchase rentals receivables	3,147,664,141	4,385,050,179
Less: Unearned income	(554,748,563)	(970,894,336)
Net hire purchase rentals receivables	2,592,915,578	3,414,155,843
Less: Allowance for impairment	(386,326,607)	(170,457,399)
Net hire purchase receivables	2,206,588,971	3,243,698,444
Hire purchase rentals receivables within one year		
Gross hire purchase rentals receivables within one year	1,773,334,874	555,620,363
Less: Unearned income	(360,792,080)	(110,806,331)
Net hire purchase rentals receivables within one year	1,412,542,794	444,814,032
Hire purchase rentals receivables within one to five years		
Gross hire purchase rentals receivables within one to five years	1,352,006,300	3,829,429,816
Less: Unearned income	(188,373,864)	(860,088,005)
Net hire purchase rentals receivables within one to five years	1,163,632,436	2,969,341,811
Hire purchase rentals receivables after five years		
Gross hire purchase rentals receivables after five years	22,322,967	-
Less: Unearned income	(5,582,619)	-
Net hire purchase rentals receivables after five years	16,740,348	-
	2,592,915,578	3,414,155,843
17.1.3 Other loans receivables		
Gross other loans rentals receivables	2,505,812,182	1,235,423,247
Less: Unearned income	(413,506,979)	(188,454,394)
Net other loans rentals receivables	2,092,305,203	1,046,968,853
Less: Allowance for impairment	(18,868,433)	(3,983,892)
Net other loans receivables	2,073,436,770	1,042,984,961
Other loans receivables within one year		
Gross other loans rentals receivables within one year	1,436,794,625	227,848,581
Less: Unearned income	(211,103,875)	(29,719,380)
Net other loans rentals receivables within one year	1,225,690,750	198,129,201
Other loans receivables within one to five years		
Gross other loans rentals receivables within one to five years	1,046,069,648	1,007,574,666
Less: Unearned income	(196,465,608)	(158,735,014)
Net other loans rentals receivables within one to five years	849,604,040	848,839,652
Other loans receivables later than five years		
Gross other loans rentals receivables within one to five years	22,947,909	-
Less: Unearned income	(5,937,496)	-
Net other loans rentals receivables within one to five years	17,010,413	-
Total	2,092,305,203	1,046,968,853

As at 31st March

	2016 Rs.	2015 Rs.
17.1.4 Factoring receivables		
Factoring receivables	1,206,868,050	-
Less: Allowance for impairment	(25,397,125)	-
Net factoring receivables	<u>1,181,470,925</u>	<u>-</u>
17.1.5 Pawning receivables		
Pawning receivables	6,840,236	-
Less: Provision for specific impairment	-	-
Net pawning receivables	<u>6,840,236</u>	<u>-</u>

17.1.6 During the year the board has written off contract receivables worth of Rs.294,685,656/- (2014/15 -) which were fully impaired. These were already provided for in the previous year under specific impairment.

17.1.7 Movement in specific and collective impairment charges during the year	Finance lease Rs.	Hire purchase Rs.	Loans and others Rs.	Factoring Rs.	Pawning Rs.	Total Rs.
Balance as at 01.04.2015	91,179,993	170,457,399	3,983,892	-	-	265,621,284
Transfer due to amalgamation	370,908,768	102,492,637	27,023	16,194,688	288,324	489,911,440
Charge/(reversal) for the year	69,879,866	235,345,115	14,857,518	9,202,437	(288,324)	328,996,612
Written off during the year	(172,717,112)	(121,968,544)	-	-	-	(294,685,656)
Balance as at 31.03.2016	<u>359,251,515</u>	<u>386,326,607</u>	<u>18,868,433</u>	<u>25,397,125</u>	<u>-</u>	<u>789,843,680</u>
Specific impairment	257,074,574	289,447,141	17,884,725	25,397,125	-	589,803,565
Collective impairment	102,176,942	96,879,466	983,708	-	-	200,040,116
	<u>359,251,516</u>	<u>386,326,607</u>	<u>18,868,433</u>	<u>25,397,125</u>	<u>-</u>	<u>789,843,681</u>

As at 31st March

	2016 Rs.	2015 Rs.
18. INVESTMENTS WITH BANKS AND OTHER FINANCIAL INSTITUTIONS		
Investments in fixed deposits	430,949,855	27,258,987
Investments in REPO	-	3,971,863
Investments in commercial papers	-	102,864,145
Investments in debentures	1,379,358	-
	<u>432,329,213</u>	<u>134,094,995</u>
19. OTHER ASSETS		
Advances paid	15,890,304	7,934,672
Interest receivable	1,474,903	-
Insurance commissions receivable	8,204,717	-
VAT receivables	27,939,707	32,431,956
ESC and WHT recoverable	62,004,852	72,497,845
Deposits and prepayments	132,127,012	25,218,364
	<u>247,641,495</u>	<u>138,082,837</u>
20. REAL ESTATE STOCK		
Naranwala project	2,225,527	2,225,527
Kiriberiya project	16,197,599	16,138,799
Matale project	9,363,085	9,363,085
Maddawaththa project	1,495,131	1,495,131
Chillaw project	17,126,508	18,004,894
	<u>46,407,850</u>	<u>47,227,436</u>
21. DEFERRED TAX ASSET		
Balance at the beginning of the year	(50,300,826)	(50,300,826)
Transferred from former Orient Finance PLC	43,793,855	-
Reverse/(Charge) for the year	325,503,993	-
Deferred tax effect on actuarial gain	521,058	-
Balance at the end of the year	<u>319,518,080</u>	<u>(50,300,826)</u>
21.1 Deferred tax assets		
The amount recognized as deferred tax asset is as follows:		
Property, plant and equipment and intangible assets	(32,927,720)	-
Lease assets	(152,642,280)	-
Gratuity	10,878,840	-
Tax losses carried forward	233,870,280	-
Qualifying payment on purchase consideration of amalgamation	260,338,960	-
	<u>319,518,080</u>	<u>-</u>
21.2 As per the Central Bank guidelines on Investment Tax Relief on Financial Sector Consolidation, a Deferred Tax gain of Rs. 260 Mn on the purchase consideration paid to owners of former Orient Finance PLC has been recognised to the comprehensive income, to the extent of future profit estimates.		

22. GOODWILL ON ACQUISITION

Pursuant to the shareholder approval at the extraordinary general meeting held on 25th June 2015, the assets and liabilities of former Orient Finance PLC (OFF) were purchased by former Bartleet Finance PLC (BFP) in terms of part VIII of section 239 of Companies Act No. 07 of 2007.

22.1 Details of the fair value of identifiable assets and liabilities acquired, purchase consideration and goodwill are as follows:

	Carrying value (Rs.)	Adjustments (Rs.)	Fair value (Rs.)
Assets			
Property, plant and equipment	35,332,879	-	35,332,879
Intangible assets	986,413	-	986,413
Investment in equity securities	30,600	-	30,600
Loans and receivables to customers	7,421,281,039	-	7,421,281,039
Deferred tax assets	43,793,855	-	43,793,855
Available for sale financial assets	221,331,791	-	221,331,791
Other assets	165,759,318	-	165,759,318
Cash and cash equivalents	324,404,434	-	324,404,434
Total assets	8,212,920,329	-	8,212,920,329
Less: Liabilities			
Bank overdraft	199,961,321	-	199,961,321
Interest bearing borrowing	1,802,772,888	-	1,802,772,888
Term debts	1,000,000,000	-	1,000,000,000
Deposits from customers	3,292,587,906	-	3,292,587,906
Current tax liability	4,688,095	-	4,688,095
Security margin	2,586,150	-	2,586,150
Retirement benefit obligations	12,950,857	-	12,950,857
Other liabilities	966,892,608	-	966,892,608
Total liabilities	7,282,439,825	-	7,282,439,825
Net assets/(liabilities)	930,480,504	-	930,480,504
Add: Brand value (Note 22.4)			235,880,000
Fair value of net assets/(liabilities)			1,166,360,504
Fair value of consideration paid			
Cash			1,730,741,430
Issue of ordinary shares			164,820
Total consideration			1,730,906,250
Goodwill			564,545,746

The board of directors is in the view that fair value of the identifiable assets and liabilities acquired, does not materially differ with their carrying value. Methodologies and assumptions used in fair value estimates are given below:

Loans and receivables to customers

Fair value of the loans and receivables to customers at the date of acquisition is the present value of future cash flows expected to be received from such loans and receivables calculated based on interest rates at the date of acquisition for similar types of loans and receivables. The company calculated the fair value of the loans and receivables to customers based on interest rates at the date of acquisition for similar types of loans and receivables. Accordingly, fair value of such loans does not materially differ from its carrying value.

Available for sale financial assets

Available for sale financial assets include investments in government securities. At the date of acquisition government securities are measured at fair value as per LKAS 39.

Cash and cash equivalents

The carrying amounts of cash and cash equivalents, approximate their fair value as those are short-term in nature and are receivable on demand.

22. GOODWILL ON ACQUISITION (CONTD...)

Bank overdrafts

The carrying amounts of bank overdrafts, approximate their fair value as those are short term in nature.

Interest bearing borrowings

Interest bearing borrowings include both fixed rate and floating rate borrowings. Floating rate borrowings represent nearly 78% of the portfolio. Accordingly carrying value of the floating rate borrowings approximate to their fair values as at the acquisition date. Rest of the borrowings have a remaining contractual maturity of less than one year. Therefore, fair value of interest bearing borrowings approximate to the carrying value as at the acquisition date.

Deposits from customers

Most of the customer deposits have a remaining contractual maturity of less than one year. Customer deposits with a contractual maturity of more than one year are subject to pre-mature upliftment. Amounts paid to customers in the event of pre-mature upliftment would not be materially different to its carrying value as at date. Therefore, fair value of customer deposits approximates to their carrying value as at the acquisition date.

22.2 Acquisition costs of Rs.2,171,182/- arose as a result of the transaction have been recognized as part of other operating expenses in the income statement.

22.3 Out of the total goodwill on the acquisition of former Orient Finance PLC, Rs. 235,880,000/- has been attributed as brand value of former Orient Finance PLC based on the independent professional valuation carried out by KPMG.

22.3.1 Valuation methodology and principal assumptions used for the brand valuation

"Income approach" has been considered for the valuation of brand by the independent professional valuer and

- Royalty rate - 1.68%
- Cost of equity - 19.67% (risk free rate - 9.67% + equity risk premium - 5% + alpha 5%)
- Terminal growth rate - 2%

23. INTANGIBLE ASSETS

As at 31st March

	2016 Rs.	2015 Rs.
Computer software		
Cost		
Balance at the beginning of the year	-	-
Transferred from former Orient Finance PLC	9,312,960	-
Additions during the year	-	-
Balance at the end of the year	<u>9,312,960</u>	<u>-</u>
Accumulated amortization		
Balance at the beginning of the year	-	-
Transferred from former Orient Finance PLC	8,326,552	-
Amortized during the year	468,750	-
Balance at the end of the year	<u>8,795,302</u>	<u>-</u>
Carrying amount as at 31st March	<u><u>517,658</u></u>	<u><u>-</u></u>

23.1 There were no capitalized borrowing costs related to the internal development of software during the year (2014/2015 - Nil).

24 PROPERTY, PLANT AND EQUIPMENT

Cost	Land Rs.	Buildings Rs.	Furniture and fittings Rs.	Office equipment Rs.	Computer equipment Rs.	Motor vehicles Rs.	Leasehold improvements Rs.	Total 2016 Rs.
Balance as at 01st April 2015	108,923,000	294,865,468	21,301,917	33,079,000	46,952,750	85,038,091	7,907,239	598,067,465
Assets transferred from former Orient Finance PLC	-	-	26,668,250	38,008,786	44,633,263	11,417,980	-	120,728,279
Additions during the year	-	-	2,140,641	5,437,472	8,670,238	-	-	16,248,351
Disposals during the year	-	-	(646,231)	(11,704,703)	(236,200)	(66,775,279)	(7,907,239)	(87,269,652)
Balance as at 31st March 2016	108,923,000	294,865,468	49,464,577	64,820,555	100,020,051	29,680,792	-	647,774,443
Depreciation								
Balance as at 01st April 2015	-	6,631,309	16,127,315	23,188,025	37,004,926	60,344,832	7,907,239	151,203,646
On assets transferred from former Orient Finance PLC	-	-	13,960,646	25,859,551	39,322,740	6,252,463	-	85,395,400
Charge for the year	-	5,897,310	8,347,832	10,870,475	10,646,505	5,696,590	-	41,458,712
On disposals	-	-	(450,003)	(11,392,493)	(209,091)	(49,060,610)	(7,907,239)	(69,019,436)
Balance as at 31st March 2016	-	12,528,619	37,985,790	48,525,558	86,765,080	23,233,275	-	209,038,322
Carrying amount as at 31st March 2016	108,923,000	282,336,849	11,478,787	16,294,997	13,254,971	6,447,517	-	438,736,121
Carrying amount as at 31st March 2015	108,923,000	288,234,159	5,174,602	9,890,975	9,947,824	24,693,259	-	446,863,819

- 24.1 Based on the assessment of potential impairment carried out internally, for property, plant and equipment by the board of directors as at 31st March 2016, no provision was required to be made in the financial statements.
- 24.2 Property, plant and equipment included fully depreciated assets having a gross amount of Rs.149,563,836/- as at 31st March 2016. (Rs.52,406,639/- as of 31.03.2015)
- 24.3 There were no capitalized borrowing costs related to the acquisition of property plant and equipment during the year (2014/2015 -nil).
- 24.4 There were no restrictions on the title of the property, plant and equipment as at 31st March 2016.
- 24.5 There were no items of property, plant and equipment pledged as security as at 31st March 2016 except Matara and Kalutara buildings disclosed in asset pledged note.

As at 31st March,

	2016 Rs.	2015 Rs.
25 DEPOSITS FROM CUSTOMERS		
Fixed deposits (Note 25.1)	9,198,591,459	5,716,885,162
Savings deposits	50,720,934	29,961,642
	<u>9,249,312,393</u>	<u>5,746,846,804</u>
25.1 Public deposits	8,883,878,878	5,550,110,737
Interest accrued	314,712,581	166,774,425
Public deposits at amortized cost	<u>9,198,591,459</u>	<u>5,716,885,162</u>
25.2 Rs.1,698,393,626/- (2014/2015 - Rs.1,170,933,137) of deposits from customers are expected to be matured after 12 months period from the reporting date, 31 March 2016.		
26 INTEREST BEARING BORROWINGS		
Institutional borrowings (Note 26.1)	3,250,798,278	31,760,395
Promissory notes	11,939,272	-
	<u>3,262,737,550</u>	<u>31,760,395</u>
26.1 Movement in institutional borrowings		
Balance at the beginning of the year	31,760,395	377,279,412
Transferred from former Orient Finance PLC	1,791,609,243	-
Obtained during the year	5,839,204,525	-
Payments made during the year	(4,440,414,808)	(345,519,017)
Balance before adjusting for amortized interest	<u>3,222,159,355</u>	<u>31,760,395</u>
Net effect on amortized interest payable	28,638,923	-
Balance at the end of the year	<u>3,250,798,278</u>	<u>31,760,395</u>
26.2 Interest bearing borrowings - Current and non-current		
Payable within one year	2,304,401,797	31,760,395
Payable after one year (1 -5 years)	958,335,753	-
	<u>3,262,737,550</u>	<u>31,760,395</u>

26 INTEREST BEARING BORROWINGS (CONTD...)

26.3 Institutional borrowings

Bank	Facility amount Rs.	Capital outstanding as at 31.03.2016 Rs.	Finance cost payable as at 31.03. 2016 Rs.	Total payable at amortised cost as at 31.03.2016 Rs.	Tenure of loan (months)	Security offered
Long term loans						
Union Bank PLC	250,000,000	215,624,992	58,307	215,683,299	48	Lease / HP Portfolio
Union Bank PLC	250,000,000	234,374,998	57,791	234,432,789	48	Lease / HP Portfolio
Sampath Bank PLC	300,000,000	56,898,000	96,992	56,994,992	36	Lease / HP Portfolio
Sampath Bank PLC	250,000,000	214,890,000	366,314	215,256,314	60	Lease / HP Portfolio
Seylan Bank PLC	150,000,000	103,125,000	555,943	103,680,943	48	Lease / HP Portfolio
Pan Asia Banking Corporation	50,000,000	6,250,000	37,414	6,287,414	40	Lease / HP Portfolio
Pan Asia Banking Corporation	200,000,000	135,860,224	231,855	136,092,079	48	Lease / HP Portfolio
Short term loans - revolving						
National Development Bank	685,000,000	685,000,000	5,078,151	690,078,151	Revolving	Lease / HP Portfolio
Nations Trust Bank PLC	30,000,000	30,000,000	28,767	30,028,767	Revolving	Lease / HP Portfolio
Sampath Bank PLC - Money market	150,000,000	150,000,000	127,849	150,127,849	Revolving	Lease / HP Portfolio
Sampath Bank PLC	500,000,000	500,000,000	745,788	500,745,788	Revolving	Unsecured
Pan Asia Banking Corporation	200,000,000	200,000,000	1,342,110	201,342,110	Revolving	Lease / HP Portfolio
Bank of Ceylon	150,000,000	150,000,000	1,019,178	151,019,178	Revolving	Lease / HP Portfolio
Securitizations						
Trust 15	265,482,690	56,427,027	16,561,883	72,988,910	36	Lease / HP Portfolio
Trust 16	179,109,115	179,109,115	1,595,361	180,704,476	24	Lease / HP Portfolio
Trust 15(17)	318,100,000	304,600,000	735,220	305,335,220	48	Lease / HP Portfolio
		<u>3,222,159,355</u>	<u>28,638,923</u>	<u>3,250,798,278</u>		

As at 31st March				2016 Rs	2015 Rs
27. TERM DEBTS					
Balance at the beginning of the year				204,000,000	204,000,000
Transferred from former Orient Finance PLC				1,000,000,000	-
Balance at the end of the year				1,204,000,000	204,000,000
Initial cost on debentures				(50,437,319)	-
Net effect on amortized interest payable				23,350,184	-
				<u>1,176,912,865</u>	<u>204,000,000</u>
				Value of the debentures as at 31.03.2016 (Rs.)	debentures as at 31.03.2015 (Rs.)
27.1	Interest payment frequency	Allotment date	Maturity date	Effective annual yield	
	Monthly	15-Jun-11	15-Jun-16	13.00%	204,000,000
	Semi annually	26-Dec-14	26-Dec-19	9.25%	1,000,000,000
	Balance at the end of the year				<u>1,204,000,000</u>
					<u>204,000,000</u>
As at 31st March,				2016 Rs.	2015 Rs.
28. CURRENT TAX PAYABLE					
Balance at the beginning of the year				(54,021)	(54,021)
Transferred from former Orient Finance PLC				4,688,905	-
On current year profits (Note 12)				-	-
Adjustments in respect of previous years' under provision (Note 12)				14,492,176	-
Set off - ESC and WHT				(14,492,176)	-
Payments made during the year				(2,498,544)	-
Balance at the end of the year				<u>2,136,340</u>	<u>(54,021)</u>
29. OTHER LIABILITIES					
Vendor payable				474,271,932	13,974,903
Insurance payable				18,169,411	-
Accrued expenses and other payable				198,389,528	49,805,810
Real estate advances				13,653,874	7,847,430
				<u>704,484,745</u>	<u>71,628,143</u>
30. RETIREMENT BENEFIT OBLIGATIONS					
Balance at the beginning of the year				44,882,599	36,621,013
Transferred from former Orient Finance PLC				12,950,858	-
Amount recognized in the total comprehensive income				4,413,005	12,000,000
Payments during the Year				(23,393,426)	(3,738,414)
Balance at the end of the year				<u>38,853,036</u>	<u>44,882,599</u>
The amount recognised in the total comprehensive income is as follows:					
30.1	Interest cost			4,135,322	3,662,101
	Current service cost			(1,583,237)	8,337,899
	Actuarial (gain) /loss recognised			1,860,920	-
				<u>4,413,005</u>	<u>12,000,000</u>

30. RETIREMENT BENEFIT OBLIGATIONS (CONTD...)

- 30.2** An actuarial valuation of the retirement benefit obligation was carried out as at 31st March 2016 by Actuarial and Management Consultants (Pvt) Ltd. The company has estimated its gratuity liability as at 31st March 2016 based on the forecast given by the actuary using the census and assumptions as at 31st March 2016. If the company had provided for gratuity liability in accordance with the payment of Gratuities Act No.12 of 1983, the liability would have been Rs.41,495,437/-. Hence, there is a contingent liability of Rs. 2,642,401/- which would crystalize only if the company ceases to be a going concern.

The principal assumptions used were as follows:

	2016	2015
Discount rate	10%	10%
Future salary increases	10%	10%
Staff turnover factor	25%	25%
Retirement age	55 years	55 - 60 years

30.3 Sensitivity of assumptions employed in actuarial valuation

The following table demonstrate the sensitivity to a reasonably possible change in the key assumptions employed with all other variables held constant in the employment benefit liability measurement.

The sensitivity of the comprehensive income statement and the statement of financial position is the effect of the assumed changes in discount rate and salary increment rate on the profit or loss and employment benefit obligation for the year.

Increase/decrease in discount rate	Increase/decrease in salary increment	2015/2016
		Sensitivity effect on comprehensive income statement increase/(reduction) in results for the year
		Rs.
1%	0	1,187,825
-1%	0	(1,273,715)
0	1%	(1,412,411)
0	-1%	1,338,458

As at 31st March

	2016 Rs.	2015 Rs.
31. STATED CAPITAL		
Ordinary shares (Note 31.1)	1,378,689,779	306,024,990
No.of shares (Note 31.2)	148,018,370	7,650,624
31.1 Movement in ordinary shares		
At the beginning of the year	306,024,990	306,024,990
Issued during the year	1,072,664,789	-
At the end of the year	1,378,689,779	306,024,990
31.2 Movement in number of shares		
At the beginning of the year	7,650,624	7,650,624
Shares issued at the amalgamation in lieu of former Orient Finance PLC shares	1,213	-
	7,651,837	7,650,624
1:10 sub division of shares	76,518,370	-
Shares issued at the Initial Public Offer	71,500,000	-
At the end of the year	148,018,370	7,650,624

31.3 The company has allotted 1,213 shares on 28 July 2015 to three shareholders as a part of the consideration paid in acquiring the assets and liabilities of former Orient Finance PLC. Shares were allotted at the consideration of Rs.135.85. All shares as at the date were subject to a split of 1:10 in 24th September 2015.

31.4 By way of an Initial Public Offer, the company issued 71,500,000 shares at the price of Rs.15/- and listed on the Dirisavi Board of the Colombo Stock Exchange on 08th February 2016.

31.3 The holders of ordinary shares are entitled to receive dividends as declared from time to time, and are entitled to one vote per share at meetings of the company.

31.4 All shares rank equally with regard to the company's residual assets.

As at 31st March,

	2016 Rs.	2015 Rs.
32. STATUTORY RESERVE FUND		
At the beginning of the year	171,016,612	170,180,249
Transfer during the year	121,374,507	836,363
At the end of the year	292,391,119	171,016,612

32.1 Statutory reserve fund is a capital reserve which contains profits transferred as required by section 3 (b) (i) of Finance Companies Capital Funds Direction No 01 of 2003 issued by Central Bank of Sri Lanka.

	2016 Rs.	2015 Rs.
33 AVAILABLE FOR SALE RESERVE		
Balance at the beginning of the year	(3,374,004)	(7,778,079)
Transfers to retained earnings	3,374,004	4,404,075
During the year fair value loss on AFS financial assets	(377,544)	-
Balance at the end of the year	(377,544)	(3,374,004)

34. FIANANCIAL REPORTING BY SEGMENTS

Business Segments

The company has two reportable segments, as described below, which are the company's strategic divisions. The strategic divisions offer different products and services, and are managed separately because they require different technology and marketing strategies. For each of the strategic divisions, the company's management reviews internal management reports on at least a monthly basis. The following summary describes the operations in each of the company's reportable segments.

Hire purchase, finance leasing and loans - Provision of hire purchase and leasing facilities to customers

Factoring - Debt factoring

	Finance leases, hire purchases and loans		Factoring		Unallocated		Total	
	31.03.2016	31.03.2015	31.03.2016	31.03.2015	31.03.2016	31.03.2015	31.03.2016	31.03.2015
	Rs	Rs	Rs	Rs	Rs	Rs	Rs	Rs
Interest income	2,036,981,870	1,186,780,099	109,033,085	-	83,730,778	96,306,550	2,229,745,733	1,283,086,649
Fee and commision income	56,919,160	21,384,098	28,067,531	-	-	-	84,986,691	21,384,098
Other income	7,100,574	-	-	-	41,318,674	58,193,686	48,419,248	58,193,686
Total segmental income	2,101,001,604	1,208,164,197	137,100,616	-	125,049,452	154,500,236	2,363,151,672	1,362,664,433
Less: Interest expense	(1,002,305,846)	(648,018,718)	(93,604,922)	-	(541,934)	(157,260,510)	(1,096,452,702)	(805,279,228)
Segmental results	1,098,695,758	560,145,479	43,495,694	-	124,507,518	(2,760,274)	1,266,698,970	557,385,205
Depreciation and amortization	(31,266,920)	(19,711,390)	(299,674)	-	(10,360,868)	(4,783,541)	(41,927,462)	(24,494,931)
Impairment charge/(reversal)	(311,112,713)	(184,398,077)	(17,694,767)	-	(189,133)	(3,893,879)	(328,996,613)	(188,291,956)
Unallocated company expenses	(350,220,716)	(273,937,609)	(2,186,776)	-	(247,506,685)	(66,478,894)	(599,914,177)	(340,416,503)
Income tax	-	-	-	-	311,011,817	-	311,011,817	-
Profit after tax	406,095,409	82,098,403	23,314,477	-	177,462,649	(77,916,588)	606,872,535	4,181,815
Segmental assets	12,650,993,005	4,987,748,661	1,181,470,925	-	3,280,218,200	1,818,235,102	17,112,682,130	6,805,983,763
Segmental liabilities	474,271,932	13,974,903	-	-	14,395,429,225	6,222,009,736	14,869,701,157	6,235,984,639

As At 31 March,

35 MATURITY ANALYSIS OF ASSETS AND LIABILITIES

	Less than 3 months Rs	3-12 months Rs	1-3 years Rs	3-5 years Rs	Over 5 years Rs	Total 2016 Rs
ASSETS						
Cash and cash equivalents	231,677,698	-	-	-	-	231,677,698
Available for sale financial assets	653,806,020	97,280,570	-	-	5,037,513	756,124,103
Loans and receivables from customers	2,769,735,877	3,207,662,813	7,717,807,358	105,740,102	38,358,016	13,839,304,166
Investments with banks and other financial institutions	432,329,213	-	-	-	-	432,329,213
Other assets	25,569,924	222,071,571	-	-	-	247,641,495
Real estate stock	-	-	-	-	46,407,850	46,407,850
Deferred tax asset	-	-	-	-	319,518,080	319,518,080
Brand value	-	-	-	-	235,880,000	235,880,000
Goodwill	-	-	-	-	564,545,746	564,545,746
Intangible assets	-	-	-	-	517,658	517,658
Property, plant and equipment	-	-	-	-	438,736,121	438,736,121
Total assets	4,113,118,732	3,527,014,954	7,717,807,358	105,740,102	1,649,000,984	17,112,682,130
Percentage	24%	21%	45%	1%	10%	100%
LIABILITIES						
Bank overdrafts	433,373,124	-	-	-	-	433,373,124
Deposits from customers	3,201,969,131	4,348,952,636	1,477,106,406	221,284,220	-	9,249,312,393
Interest bearing borrowings	1,788,490,047	515,911,750	705,600,779	252,734,974	-	3,262,737,550
Term debts	224,367,917	-	-	952,544,948	-	1,176,912,865
Current tax payable	-	2,136,340	-	-	-	2,136,340
Other liabilities	690,830,871	13,653,874	-	-	-	704,484,745
Non interest bearing security deposits	725,380	951,933	213,792	-	-	1,891,104
Retirement benefit obligations	-	-	-	-	38,853,036	38,853,036
	6,339,756,470	4,881,606,533	2,182,920,977	1,426,564,142	38,853,036	14,869,701,157
Percentage	43%	33%	15%	10%	0.3%	100%

36 RELATED PARTY TRANSACTIONS

The company carries out transactions in the ordinary course of the business with parties who are defined as related parties in Sri Lanka Accounting Standard, LKAS 24 "Related Party Disclosures", the details of which are reported below. The pricing applicable to such transactions is based on the assessment of risk and pricing model of the company and is comparable with what is applied to transactions between the company and its unrelated customers.

36.1 Parent and ultimate controlling party

The parent and ultimate controlling party of the company is Janashakthi PLC.

36.2 Transactions with key management personnel

According to LKAS 24, "Related Party Disclosures", key management personnel, are those having authority and responsibility for planning, directing and controlling the activities of the entity. Accordingly, the board of directors (including executive and non-executive directors) and their immediate family members have been classified as key management personnel of the company.

The company has paid Rs. 6,120,650/- (2014/2015 - Rs.2,425,000/-) to the directors as emoluments, of which all comprised of short term employment benefits and no post-employment benefits has been paid during the year (2014/2015 - Nil). There are no direct transactions, arrangements and agreements involving key management personnel of the company other than disclosed in other related party transactions.

The company accepts and held fixed deposits from key management personnel and their relatives in the normal course of its business and the amount outstanding on such deposits as at 31st March 2016 is Rs.136,050,000/-.

36.3 Other related party transactions

The following transactions have been carried out with related parties during the year ended 31 March 2016 under normal commercial terms.

Company	Relationship	Nature of Transactions	Rs.
Janashakthi General Insurance Limited	Affiliate	Insurance commission received	25,579,282
		Insurance premium paid	(17,327,738)
		Insurance claims received	5,679,315
		Rent paid	(1,241,135)
Janashakthi Insurance PLC	Affiliate	Rent paid for window offices	(552,000)
Orient Capital Limited	Affiliate	Settlement of outstanding	265,825,725
		Loan obtained	1,124,995,410
		Loan repayment	(1,124,995,410)

37 CAPITAL COMMITMENTS

The company has no material capital commitments outstanding as at the reporting date.

38 CONTINGENT LIABILITIES

The Inland Revenue Department has issued assessments on Value Added Tax on financial services and the management is confident that there will not be any additional tax liability on that.

39 ASSETS PLEDGED AS SECURITIES

The following assets have been pledged as securities against the long term and short term borrowings that have been disclosed under the note No.26 to the financial statements.

Funding Institution	Nature of assets	Nature of liability	Value of assets pledged (Rs.)	Included under	Carrying Value
Sampath Bank PLC	Leases and hire purchases receivable	Long term borrowings	361,478,040	Future rental receivables	271,788,000
Sampath Bank PLC	Leases and hire purchases receivable	Short term Loans - Revolving	133,000,000	Future rental receivables	100,000,000
Seylan Bank PLC	Leases and hire purchases receivable	Long term borrowings	137,156,250	Future rental receivables	103,125,000
NDB Bank PLC	Leases and hire purchases receivable	Short term loans - Revolving	822,000,000	Future rental receivables	685,000,000
Union Bank PLC	Leases and hire purchases receivable	Long term borrowings	539,999,988	Future rental receivables	449,999,990
Bank of Ceylon PLC	Leases and hire purchases receivable	Short term loans - Revolving	199,500,000	Future rental receivables	150,000,000
Nations Trust Bank PLC	Leases and hire purchases receivable	Short term loans - Revolving	37,500,000	Future rental receivables	30,000,000

39 ASSETS PLEDGED AS SECURITIES (CONTD...)

Funding Institution	Nature of assets	Nature of liability	Value of assets pledged (Rs.)	Included under	Carrying Value
Pan Asia Bank PLC	Leases and hire purchases receivable	Medium term borrowings	177,392,573	Future rental receivables	141,914,058
Pan Asia Bank PLC	Leases and hire purchases receivable	Short term loans - Revolving	250,000,000	Future rental receivables	200,000,000
Deutsche Bank	Leases and hire purchases receivable	Securitizations	479,177,221	Future rental receivables	304,600,000
Bank of Ceylon PLC	Leases and hire purchases receivable	Securitizations	331,593,667	Future rental receivables	235,536,141
Commercial Bank of Ceylon PLC	Leases and hire purchases receivable	Bank overdraft	204,750,000	Future rental receivables	1,411,596
Hatton National Bank PLC	Leases and hire purchases receivable	Bank overdraft	31,250,000	Future rental receivables	7,726,275
Sampath Bank PLC	Leases and hire purchases receivable	Bank overdraft	99,750,000	Future rental receivables	14,033,162
Peoples Bank	Leases and hire purchases receivable	Bank overdraft	93,750,000	Future rental receivables	-
NDB Bank PLC	Leases and hire purchases receivable	Bank overdraft	30,000,000	Future rental receivables	19,808,689
Union Bank PLC	Leases and hire purchases receivable	Bank overdraft	30,000,000	Future rental receivables	21,412,762
Bank of Ceylon	Leases and hire purchases receivable	Bank overdraft	66,500,000	Future rental receivables	44,473,738
Nations Trust Bank PLC	Leases and hire purchases receivable	Bank overdraft	25,000,000	Future rental receivables	19,470,748
Seylan Bank PLC	Leases and hire purchases receivable	Bank overdraft	33,250,000	Future rental receivables	22,553,193
	Land and building	Bank overdraft	328,000,000	Property, plant and equipment	86,285,596

39.1 The Company has pledged Rs.1,310,108,605 worth of debtors as securities to Janashakthi General Insurance Ltd for the Guarantee obtained for the Debentures amounting to Rs. 1,000,000,000.

39.2 In the ordinary course of the business, the company enters into transactions that result in the transfer of financial assets to third parties. The information above sets out the extent of such transfers and retained interest in transferred assets.

39.3 The company has transferred future rental receivable of lease and hire purchases, but has retained substantially all of the credit risks associated with the transferred assets. Due to the retention of substantially all the risk and rewards on these assets the company continues to recognise these assets within lease rental receivable and stock out on hire

40 EVENTS OCCURRING AFTER THE BALANCE SHEET DATE

Subsequent to the date of the statement of financial position, no circumstances have been arisen which would require adjustments to or disclosures in the financial statements.

41 COMPARATIVE INFORMATION

Comparative information of the company has been reclassified wherever necessary to conform with the current year's presentation/classification.

Following information was reclassified for the current year's presentation:

a) Fee and commission income

Insurance commission income which was classified under other operating income in the previous year has been reclassified under fee and commission income.

	Amount (Rs.)
Fee and commission income as per previous year financial statements	15,502,142
Add: Insurance commission	5,881,956
Fee and commission income as per current year financial statements	<u>21,384,098</u>

b) Other operating income

Insurance commission income which was classified under other operating income in the previous year has been reclassified under fee and commission income and loss on disposal of financial investments - available for sale which was classified under net trading income/(expenses) in the previous year has been reclassified under other operating income.

	Amount (Rs.)
Other operating income as per previous year financial statements	65,328,763
Less: Insurance commission	(5,881,956)
Add: Loss on disposal of financial investments available for sale	(1,253,121)
Other operating income as per current year financial statements	<u>58,193,686</u>

c) Available for sale financial assets

Investment in treasury bills and treasury bonds which was classified under financial investments - held to maturity in the previous year has been reclassified under available for sales financial assets.

	Amount (Rs.)
Available for sale financial assets as per previous year financial statements	3,200,000
Add: Investment in treasury bills	563,802,353
Investment in treasury bonds	25,102,485
Available for sale financial assets as per current year financial statements	<u>592,104,838</u>

41 COMPARATIVE INFORMATION (CONTD...)

d) Loans and Receivables to Customers

	Amount (Rs.)
Loans and receivables to customers as per previous year financial statements	4,933,959,608
Add : Insurance receivable	36,290,915
Other charges receivable	17,498,138
Loans and receivables to customers as per current year financial statements	<u>4,987,748,661</u>

e) Investments with banks and other financial institutions

Investments in repurchase agreements and commercial papers which were classified under financial investments - held to maturity have been reclassified under investments with banks and financial institutions.

	Amount (Rs.)
Investments with banks and other financial institutions as per previous year financial statements	27,258,987
Add: Investment in repurchase agreements	3,971,863
Investment in commercial papers	102,864,145
Investments with banks and other financial institutions as per current year financial statements	<u>134,094,995</u>

f) Other assets

VAT receivable, insurance receivable and sundry debtors which were classified under other liabilities in the previous year have been reclassified under other assets. Further economic service charges recoverable which was separately classified in the previous year has been reclassified under other assets.

	Amount (Rs.)
Other assets as per previous year financial statements	92,794,231
Add: VAT receivable	32,389,896
Sundry debtors	4,652,637
ESC receivable	25,744,211
Less: Other charges receivable from customers	(17,498,138)
Other assets as per current year financial statements	<u>138,082,837</u>

g) Other liabilities

VAT receivable, insurance receivable and sundry debtors which were classified under other liabilities in the previous year have been reclassified under other assets. Further, interest payable on fixed deposits from customers which was classified under other liabilities in the previous year has been reclassified under deposits from customers.

	Amount (Rs.)
Other liabilities as per previous year financial statements	165,069,120
Add: VAT receivable	32,389,896
Sundry debtors	4,652,637
Insurance receivable	36,290,915
Interest payable on deposits from customers	(166,774,425)
Other liabilities as per current year financial statements	<u>71,628,143</u>

h) Deposits from customers

Interest payable on deposits from customers which was classified under other liabilities in the previous year have been reclassified under deposits from customers.

	Amount (Rs.)
Deposits from customers as per previous year financial statements	5,580,072,379
Add: Interest payable	166,774,425
Deposits from customers as per current year financial statements	<u>5,746,846,804</u>

42 DIRECTORS' RESPONSIBILITY

Board of directors is responsible for the preparation and presentation of these financial statements.

43 NUMBER OF EMPLOYEES OF THE COMPANY AS AT THE YEAR END

Number of employees of the company as at 31st March 2016 is 421 (2015-189).

44 DETERMINATION OF FAIR VALUE AND FAIR VALUE HIERARCHY

For all financial instruments where fair values are determined by referring to externally quoted prices or observable pricing inputs to models, independent price determination or validation is obtained. In an inactive market, direct observation of a traded price may not be possible. In these circumstances, the company uses alternative market information to validate the financial instrument's fair value, with greater weight given to information that is considered to be more relevant and reliable.

Fair values are determined according to the following hierarchy:-

Level 1:- Quoted market price (unadjusted) in an active market for an identical instrument.

Level 2:- Valuation techniques based on observable inputs, either directly (i.e. as prices) or indirectly (i.e. derived from prices). This category includes instruments valued using: quoted market prices in active markets for similar instruments; quoted prices for identical or similar instruments in markets that are considered less than active; or other valuation techniques where all significant inputs are directly or indirectly observable from market data.

Level 3:- Valuation techniques using significant unobservable inputs. This category includes all instruments where the valuation technique includes inputs not based on observable data and the unobservable inputs have a significant effect on the instrument's valuation.

The following table shows an analysis of financial instruments recorded at fair value by the level of the fair value hierarchy.

	Level 1 Rs	Level 2 Rs	Level 3 Rs	Total Rs
Financial Assets - Available for Sale				
Government Securities	751,086,590	-	-	751,086,590
Investments in shares	4,806,913	230,600	-	5,037,513
	<u>755,893,503</u>	<u>230,600</u>	<u>-</u>	<u>756,124,103</u>

45 FAIR VALUE OF FINANCIAL INSTRUMENTS CARRIED AT AMORTISED COST

The following table summarises the carrying amounts and the company's estimate of fair values of those financial assets and liabilities not presented on the company's statement of financial position at fair value. Fair value is the amount for which an asset could be exchanged, or a liability settled, between knowledgeable, willing parties in an arm's length transaction. The fair values in the table below may be different from the actual amounts that will be received/ paid on the settlement or maturity of the financial instrument. For certain instruments, the fair value may be determined using assumptions which are not observable in the market.

As at 31 March	2016		2015	
	Carrying Value (Rs)	Fair Value (Rs)	Carrying Value (Rs)	Fair Value (Rs)
ASSETS				
Cash and cash equivalents	231,677,698	231,677,698	194,035,452	194,035,452
Loans and receivables to customers	13,839,304,166	13,839,304,166	4,987,748,661	4,987,748,661
Investments with banks and other financial institutions	432,329,213	432,329,213	134,094,995	134,094,995
	<u>14,503,311,077</u>	<u>14,503,311,077</u>	<u>5,315,879,108</u>	<u>5,315,879,108</u>
LIABILITIES				
Bank overdrafts	433,373,124	433,373,124	86,619,893	86,619,893
Deposits from customers	9,249,312,393	9,249,312,393	5,746,846,804	5,746,846,804
Interest bearing borrowings	3,262,737,550	3,262,737,550	31,760,395	31,760,395
	<u>12,945,423,067</u>	<u>12,945,423,067</u>	<u>5,865,227,092</u>	<u>5,865,227,092</u>

Given below is the methodologies and assumptions used in fair value estimates.

Cash and cash equivalents

The carrying amounts of cash and cash equivalents, approximate their fair value as those are short-term in nature and are receivable on demand.

Investment securities

The carrying amounts of fixed deposits with banks and other reverse repurchase agreements, approximate their fair value as those are short term in nature. Almost all of these balances have a remaining maturity of less than six months from the reporting date.

Loans and receivables to customers

Fair value of the loans and receivables to customers is the present value of future cash flows expected to be received from such loans and receivables calculated based on interest rates at the reporting date for similar types of loans and receivables. The company calculated the fair value of the loans and receivables to customers based on interest rates at the reporting date for similar types of loans and receivables. Accordingly, fair value of such loans does not materially defer from its carrying value amounted to Rs.13,839,304,166.

Bank overdrafts

The carrying amounts of bank overdrafts, approximate their fair value as those are short term in nature.

Deposits from customers

More than 72% of the customer deposits have a remaining contractual maturity of less than one year. Customer deposits with a contractual maturity of more than one year are subject to pre-mature upliftment. Amounts paid to customers in the event of pre-mature upliftment would not be materially different to its carrying value as at date. Therefore, fair value of customer deposits approximates to their carrying value as at the reporting date.

Interest bearing borrowings

Interest bearing borrowings include both fixed rate and floating rate borrowings. Floating rate borrowings represent nearly 78% of the portfolio. Accordingly carrying value of the floating rate borrowings approximate to their fair values as at the reporting date. Rest of the borrowings have a remaining contractual maturity of less than one year. Therefore, fair value of interest bearing borrowings approximate to the carrying value as at the reporting date.

46 FINANCIAL RISK MANAGEMENT

Risk is the most important factor considered in strategic decision making process at Orient Finance PLC. Therefore, all possible risks are properly evaluated before taking any strategic or operational decision and decide the best options which minimize the risk. Risk management framework of the company is discussed in detail in this report. The major categories of financial risks are;

- 1 Credit risk
- 2 Market risk
- 3 Liquidity risk
- 4 Operational risk
- 5 Compliance and regulatory risk

46.1 Credit risk

Credit risk is the risk of financial loss to the company if a customer or counterparty to a financial instrument fails to meet its contractual obligations, and arises principally from the company's loans and advances to customers. For risk management reporting purposes the company considers and consolidates all elements of credit risk exposure (such as individual obligor default risk, country and sector risk).

Management of credit risk

The board of directors has delegated responsibility for the oversight of credit risk to its company's credit committee. The company's credit department, reporting to the company's credit committee, is responsible for management of the company's credit risk, including:

- I Formulating credit policies in consultation with business units, covering collateral requirements, credit assessment, risk grading and reporting, documentary and legal procedures, and compliance with regulatory and statutory requirements.
- II Establishing the authorization structure for the approval and renewal of credit facilities. Authorization limits are allocated to business unit credit officers. Larger facilities require approval by the company's credit committee or the board of directors as appropriate.
- III Reviewing and assessing credit risk - company's credit division assesses all credit exposures in excess of designated limits, prior to facilities being committed to customers by the business unit concerned. Renewals and reviews of facilities are subject to the same review process.
- IV Limiting concentrations of exposure to counterparties, geographies and industries.
- V Providing advice, guidance and specialist skills to business units to promote best practice throughout the company in the management of credit risk.

Regular audits of business units and the company's credit processes are evaluated by internal audit.

	31.03.2016	31.03.2015
	Rs	Rs
Loans and advance to customers		
Carrying amount at amortized cost		
Individual significant impaired loans and advances (Note 46.1.1)	616,228,140	1,777,928,636
Carrying amount of unimpaired loans and advances (Note 46.1.2)	13,223,076,026	3,156,030,972
	<u>13,839,304,166</u>	<u>4,987,748,661</u>
	31.03.2016	31.03.2015
	Rs	Rs
46.1.1 Individually significant loans and advances		
Gross receivable	1,206,031,705	1,975,840,739
Allowance for impairment	(589,803,565)	(197,912,103)
Individually significant impaired loans and advances	<u>616,228,140</u>	<u>1,777,928,636</u>

46 FINANCIAL RISK MANAGEMENT (CONTD...)

46.1.2 Individually significant unimpaired and individually not significant (collective

	31.03.2016	31.03.2015
	Rs	Rs
Gross receivable	13,423,116,142	3,223,740,153
Allowance for impairment	(200,040,116)	(67,709,181)
Carrying amount of unimpaired loans advances	13,223,076,026	3,156,030,972

Write-off policy

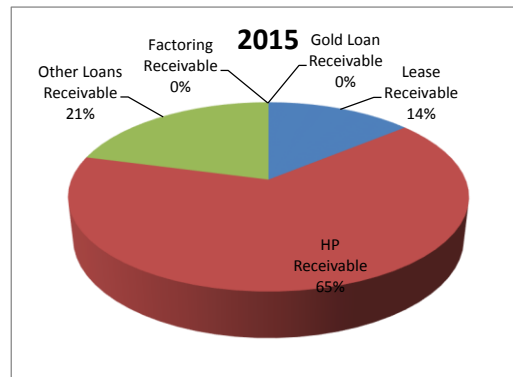
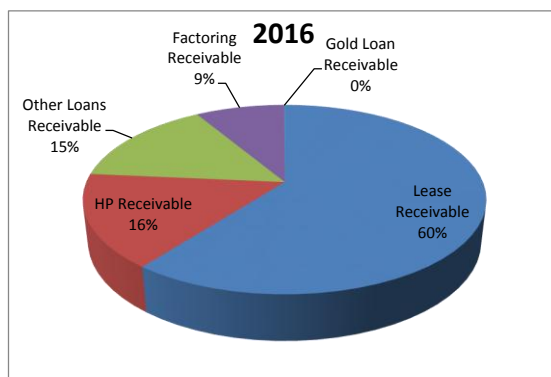
The company writes off a loan or an investment debt security balance, and any related allowances for impairment losses, when the company's credit division determines that the loan or security is uncollectible. This determination is made after considering information such as the occurrence of significant changes in the borrower's/issuer's financial position such that the borrower/issuer can no longer pay the obligation, or that proceeds from collateral will not be sufficient to pay back the entire exposure. For smaller balance standardized loans, write-off decisions generally are based on a product-specific past due status.

Concentrations of credit risk

The company monitors concentrations of credit risk by sector and by geographic location.

An analysis of concentrations of credit risk from loans and advances and investment securities at the reporting date is shown below:

Product concentration



46.2 Liquidity risk

Liquidity risk is the risk that the company will encounter difficulty in meeting obligations associated with its financial liabilities that are settled by delivering cash or another financial asset.

Management of liquidity risk

The company's approach to managing liquidity is to ensure, as far as possible, that it will always have sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the company's reputation.

The company treasury receives information from other business units regarding the liquidity profile of their financial assets and liabilities and details of other projected cash flows arising from projected future business. Treasury then maintains a portfolio of short-term liquid assets, largely made up of short-term liquid investment securities to ensure that sufficient liquidity is maintained within the company as a whole.

46 FINANCIAL RISK MANAGEMENT (CONTD...)

46.2 Liquidity risk (Contd...)

Management of liquidity risk (Contd...)

The daily liquidity position is monitored and regular liquidity stress testing is conducted under a variety of scenarios covering both normal and more severe market conditions. All liquidity policies and procedures are subject to review and approval by ALCO. Daily reports cover the liquidity position of the company and branches. A summary report, including any exceptions and remedial action taken, is submitted regularly to ALCO which in turn submit monthly summary to the board.

The company relies on deposits from customers and banks borrowing as its primary sources of funding. While the company's debt securities and subordinated liabilities have maturities of over one year, deposits from customers generally have shorter maturities and a large proportion of them are repayable on demand. The short-term nature of these deposits increases the company's liquidity risk and the company actively manages this risk through maintaining competitive pricing and constant monitoring of market trends and maintaining unutilized credit lines.

Exposure to liquidity risk

The key measure used by the company for managing liquidity risk is the ratio of net liquid assets to deposits from customers. For this purpose net liquid assets are considered as including cash and cash equivalents and investment grade debt securities for which there is an active and liquid market less any deposits from banks, debt securities issued, other borrowings and commitments maturing within the next month. A similar, but not identical, calculation is used to measure the company's compliance with the liquidity limit established by the company's lead regulator, CBSL. Details of the reported company ratio of net liquid assets to deposits from customers at the reporting date and during the year were as follows:

	31.03.2016 (Rs)
Time deposits	9,198,591,459
Saving deposits	50,720,934
Unsecured borrowings	1,760,825,000
Total liquid assets	1,361,453,893
Cash in hand	165,733,450
Balances in current accounts (favourable)	13,683,998
Deposits in commercial banks	430,949,855
Approved securities	751,086,590
Average month end deposit liabilities	8,806,426,000
Average month end outstanding borrowings	629,013,000
	9,435,439,000
Required minimum amount of liquid assets	1,103,549,786
10% of fixed deposits	919,859,146
15% of savings deposits	7,608,140
10% of unsecured borrowings	176,082,500
Required minimum amount of approved securities 7.5%	707,657,925

46 FINANCIAL RISK MANAGEMENT (CONTD...)

Management of liquidity risk (Contd...)

Maturity analysis for financial liabilities

Contractual maturity of the assets and the liabilities of the company is disclosed in the note 35 to the financial statements.

To manage the liquidity risk arising from financial liabilities, the company holds liquid assets comprising cash and cash equivalents and investment grade investment securities for which there is an active and liquid market. These assets can be readily sold to meet liquidity requirements.

46.3 Market risks

The company does not perceive any quantifiable significant market risk which specifically impact to the company except any risk that might impact to the industry as a whole. However, the company does not see such a risk at the time of this report.

Management of market risks

Overall authority for managing market risk is vested with ALCO. Treasury is responsible for the development of detailed risk management policies (subject to review and approval by ALCO) and for the day-to-day review of their implementation.

46.4 Operational risks

Operational risk is the risk of direct or indirect loss arising from a wide variety of causes associated with the company's involvement with financial instruments, including processes, personnel, technology and infrastructure, and from external factors other than credit, market and liquidity risks such as those arising from legal and regulatory requirements and generally accepted standards of corporate behaviour. The company's objective is to manage operational risk so as to balance the avoidance of financial losses and damage to the company's reputation with overall cost effectiveness and to avoid control procedures that restrict initiative and creativity.

Compliance with company standards is periodically reviewed by internal audit. The results of internal audit reviews are discussed with the management of the business unit to which they relate, with summaries submitted to the audit committee and senior management of the company.

Capital Management

The company manages its capital base to comply with regulatory capital requirements and to maintain a solid fund base.

CBSL has set minimum capital requirements for the finance companies as discussed below:

Tier 1 Capital, which includes stated capital, perpetual bonds (which are classified as innovative tier 1 securities), retained earnings, translation reserve and non-controlling interests after deductions for goodwill and intangible assets, and other regulatory adjustments relating to items that are included in equity but are treated differently for capital adequacy purposes; and

Tier 2 Capital, which includes qualifying subordinated liabilities, collective impairment allowances (limited to those credit portfolios where the standardized approach is used under Basel II) and the element of the fair value reserve relating to unrealized gains/losses on equity instruments measured at fair value through other comprehensive income.

According to these regulations the minimum capital requirement under Tier 1 is 5% of the total risk weighted assets and Tier 2 is 10% of the total risk weighted assets.

46.5 Compliance and regulatory risk

Failure to comply with company's business principles, regulatory laws and standards that are relevant to the company are considered under this category.

The company has complied with all these laws and regulations and compliance is periodically reviewed by both the IRMC and internal auditors.